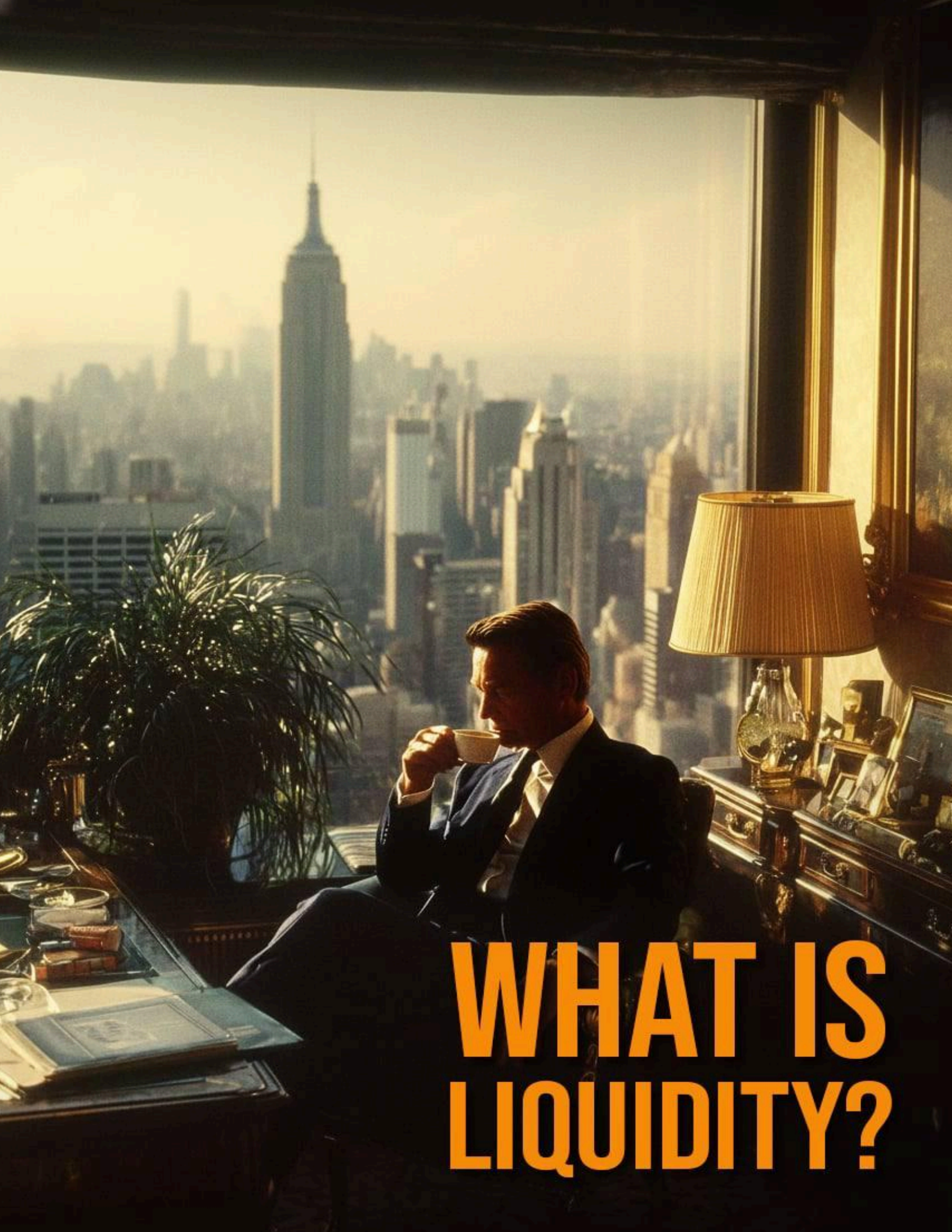


WHAT IS LIQUIDITY?

Welcome to this comprehensive Liquidity guide.

Inside, you'll learn the core ideas behind liquidity trading and how price moves through the market. Liquidity is the engine that drives every candle and reaction on the chart. Understanding where it forms and how it's taken will help you see what most traders miss.

This guide will walk you through the essentials of how liquidity builds, shifts, and fuels price movement. It is meant to give you a clear, practical view of how the market really works.

I'm glad you're here. Studying liquidity means you're starting to think in probabilities. I hope what you'll learn next helps you see the market more clearly, stay disciplined, and trade with greater confidence.

Let's begin.

Sincerely,

Soulz

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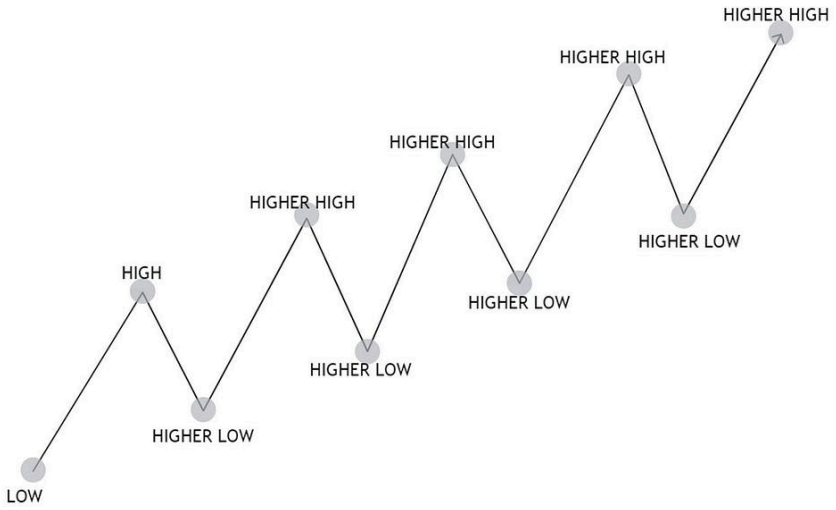
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1. Introduction to Market Structure

What is Market Structure?

Market structure refers to the framework that determines how price moves through different phases. Understanding this structure is fundamental to successful trading because it reveals where institutional participants (the "big players") are likely to position themselves. However, we will not go through Market Structure in-depth in this PDF as I assume that most traders already know how and what it is.



Why Market Structure Matters

Market movement is simply a combination of buy and sell orders. When you understand where these orders cluster and how they interact, you gain insight into:

- Where price is likely to find support or resistance
- Where stop losses are clustered (liquidity pools)
- Where institutional traders need to fill large orders
- Probable direction of next major price move

Key Concept: Price always moves from liquidity to liquidity. This is the golden rule that underlies all the concepts in this guide.

2. Understanding Liquidity

What is Liquidity?

In trading, liquidity refers to the ability to buy or sell a large volume of an asset without significantly affecting its price. More practically, it's where orders are sitting in the market waiting to be filled.

Think of liquidity as "fuel" for price movement.

Types of Liquidity

Internal Liquidity

Located **inside** a sideways movement or impulse, between structural highs and lows on your timeframe.

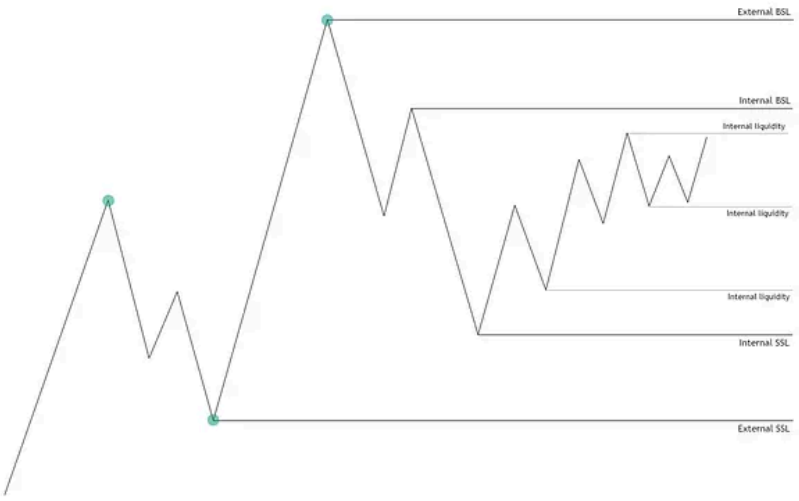
- Forms during corrections within trends
- Acts as minor support/resistance
- Used by institutions to add to positions

External Liquidity

Located **outside** the sideways movement, at structural swing highs and lows.

- Major support/resistance levels
- Where most retail stop losses cluster
- Primary target for institutional orders

Visual Example:



Time-Based Liquidity Zones

Certain levels carry special significance due to psychological and technical factors:

- **Previous Day High/Low (PDH/PDL)** - Most common intraday targets
- **Previous Week High/Low (PWH/PWL)** - Swing trading targets
- **Previous Month High/Low (PMH/PML)** - Position trading targets



These levels attract price because:

1. Traders place stops beyond them
2. Breakout traders enter at these levels
3. Institutional orders often rest at these boundaries

BSL and SSL

- **BSL (Buy Side Liquidity)** - Liquidity above current price that acts as a target for upward moves
- **SSL (Sell Side Liquidity)** - Liquidity below current price that acts as a target for downward moves



Equal Highs and Equal Lows (EQH/EQL)

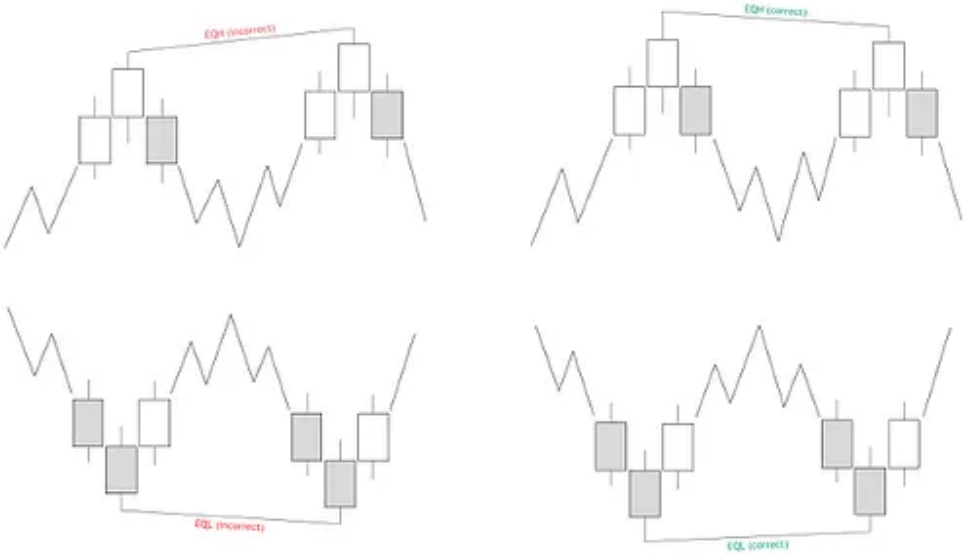
Equal highs and lows represent significant liquidity accumulation zones.

Equal Highs (EQH):

- Multiple swing highs at approximately the same price level
- Retail traders place sell stops just above these levels
- Creates a "liquidity pool" that institutional traders target

Equal Lows (EQL):

- Multiple swing lows at approximately the same price level
- Retail traders place buy stops just below these levels
- Another liquidity pool for institutional accumulation

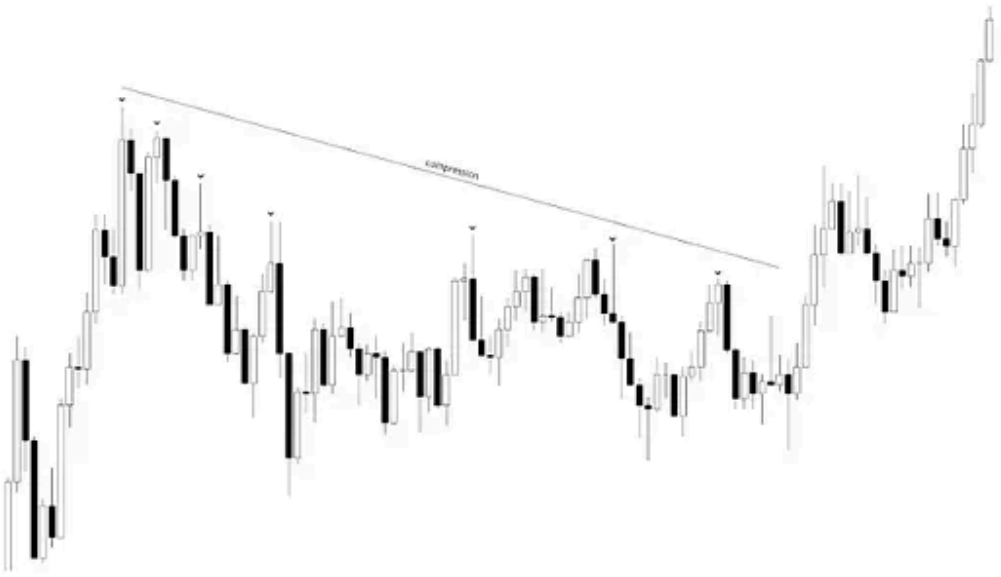


Important: Not all equal highs and lows are created equal. Look for:

- At least 2-3 touches of the level
- Price moving away from the level (showing retail interest)
- Clear reaction when liquidity is taken (confirming it was real)

Compression

Compression refers to a sequence of highs and lows that form during corrective movements between key structural points.



Key Characteristics:

- Multiple swing points at similar levels
- No breakout above/below local highs/lows
- Forms "fuel" for the next impulse move

When compression is removed (price breaks through), expect accelerated price delivery in that direction. The compressed liquidity acts like a spring - the tighter the compression, the more explosive the release.

3. Range Trading Fundamentals

What is a Range (Sideways Movement)?

Before we start trading it, we first need to define it. A range, also called consolidation, flat, or sideways movement, occurs when price trades in a horizontal channel without clear directional bias.



Why Ranges Form:

1. Market participants are waiting for new information
2. Large players are accumulating or distributing positions
3. Supply and demand are temporarily balanced

Identifying a Range

To properly identify a range, you need to recognize:

1. **Start Point** - End of a strong impulsive move (up or down)
2. **First Boundary** - The high/low of that impulse
3. **Second Boundary** - The opposite end formed by the correction

Using Fibonacci to Map Ranges:

Apply Fibonacci retracement with settings: 0, 0.5, 1

- **0 Level** - First range boundary (impulse end)
- **0.5 Level** - Range midpoint (critical reaction zone)
- **1 Level** - Second range boundary (correction end)



The 0.5 Level - Your Key Indicator

The 0.5 level (midpoint) acts as a critical confirmation tool:

Good Range: Price shows clear reaction at 0.5 - bouncing, consolidating, or showing respect for this level

Poor Range: Price cuts through 0.5 with no reaction - range boundaries may be incorrect or the structure is weak

Skip ranges with poor 0.5 reactions - they're low probability setups.

Range Boundaries as Liquidity

The upper and lower boundaries of a range act as external liquidity zones because:

- Breakout traders place orders outside the range
- Range traders place stops outside the range
- Large participants target these stops to fill big order

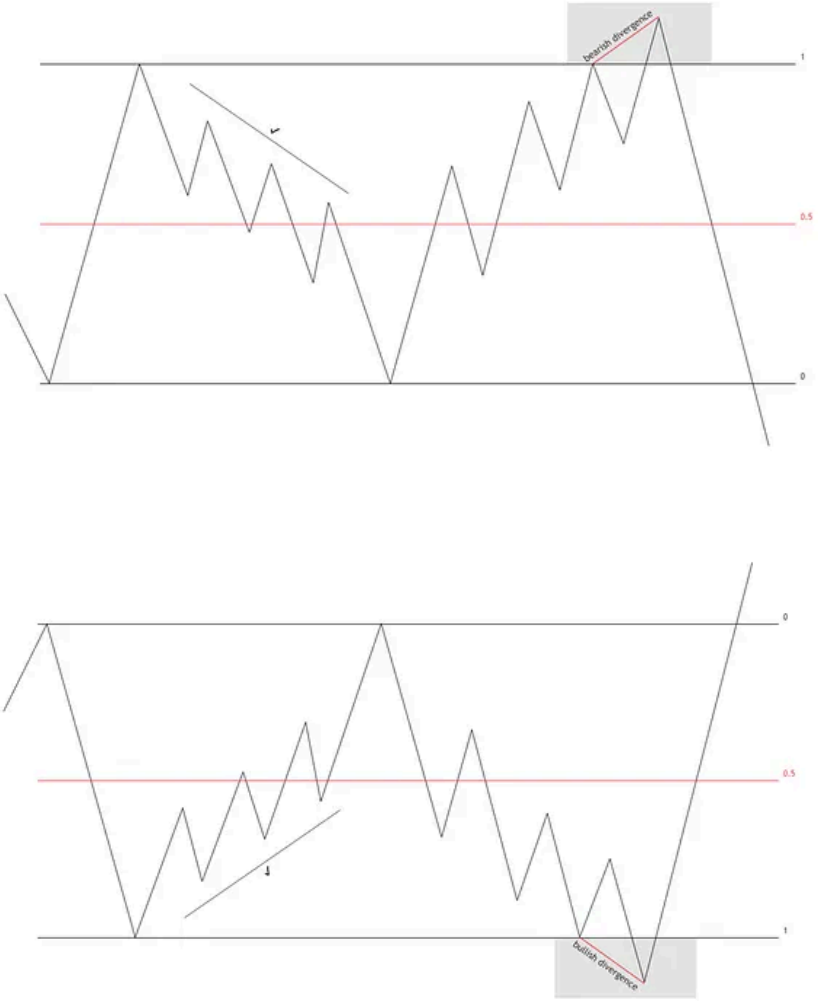
4. Deviation Trading

What is Deviation?

Now that you know what a Range is, we now get into how to trade it, which is a deviation of a range. So what is it? a deviation is price movement beyond a range boundary specifically designed to remove external liquidity (stop losses) before reversing back into or through the range.

The Liquidity Grab:

Think of deviation as a liquidity sweep - price briefly moves outside the range to trigger stops, providing the liquidity needed for smart money to enter or exit positions.



Why Deviations Occur

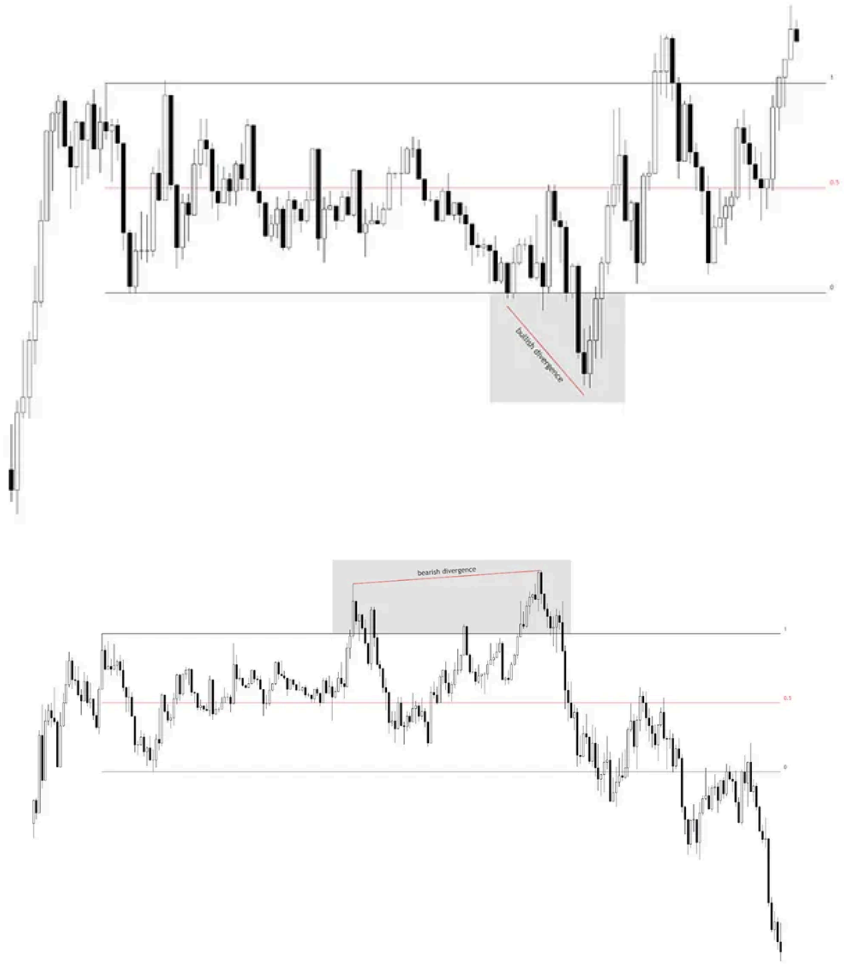
1. **Institutional Order Filling** - Large participants need liquidity to fill big orders without slippage
2. **Stop Hunting** - Triggering retail stops provides that liquidity
3. **Market Maker Activity** - Providing liquidity requires accessing stop clusters

The Deviation Principle

"Deviation on one side leads to deviation on the other."

When you see price deviate above a range, anticipate that it will eventually deviate below the range (and vice versa) because:

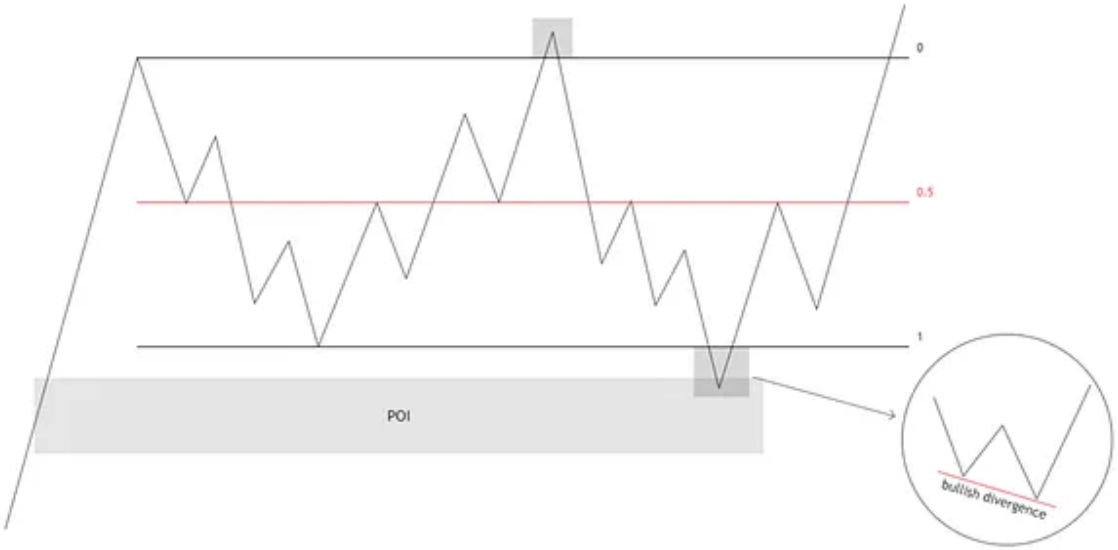
- Liquidity exists on both sides
- Market seeks balance
- Each deviation removes fuel, requiring the opposite side's liquidity



Trading Deviations

Entry Requirements

1. **Clear Range Structure** - Well-defined boundaries with 0.5 confirmation
2. **POI Present** - Point of Interest beyond the deviation level
3. **Weakness Signals** - Evidence that the deviation is failing:
    - Divergence on RSI or other oscillators
    - Decreasing volume on the deviation
    - Reversal candlestick patterns
    - Quick rejection back into range





Stop Placement

- **Conservative:** Beyond the deviation high/low with buffer
- **Aggressive:** Inside the range at recent structure

Targets

- **Primary Target:** Opposite range boundary (80% position close)
- **Secondary Target:** Opposite side deviation (20% runner)
- **Extended Target:** Major liquidity zone beyond opposite boundary

More Examples:

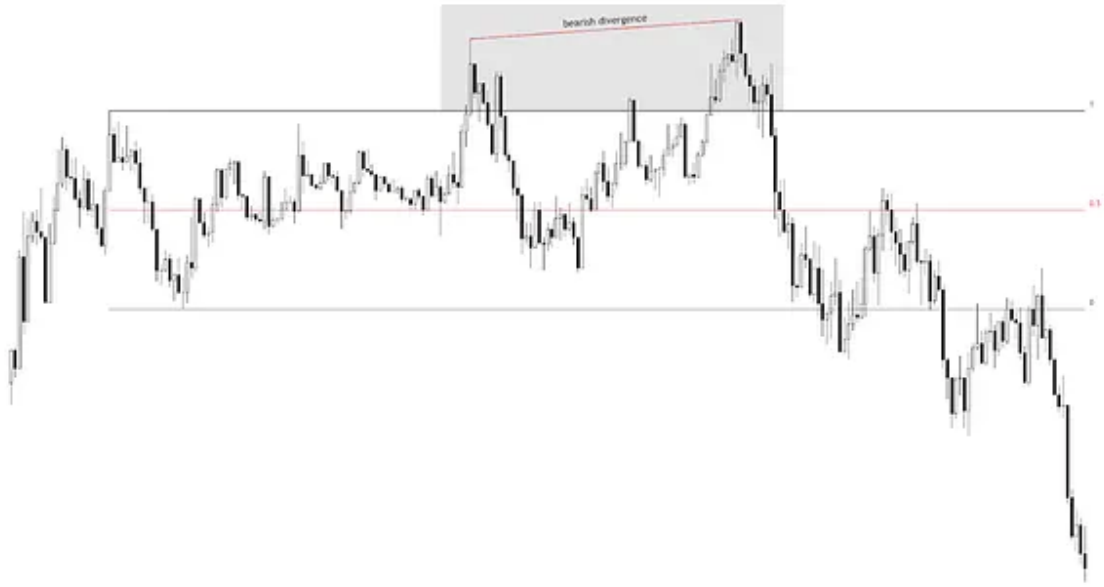




After the formation of the range, the price accumulated a lot of internal liquidity on both sides. The first removal occurred from below, and, as you can see, the removal of liquidity from below led to an accelerated movement of the price to the upper limit of the range to remove the upper liquidity



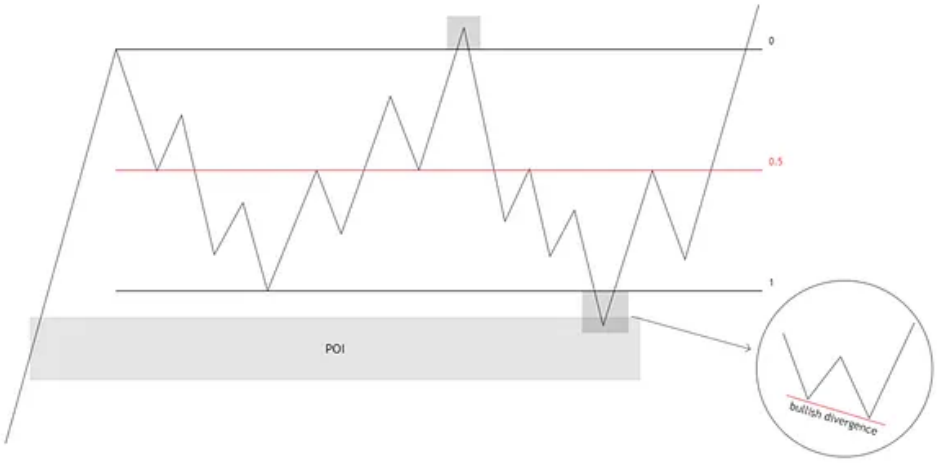
It is believed that with constant work with external liquidity outside one of the boundaries (two or more deviations) and the formation of internal liquidity, the price exits in the opposite direction.



There are two options for opening a position:

1. Aggressive — on deviation and only if there is a POI (point of interest) below/above the range. The probability of your trade working out will be increased by the presence of factors that indicate the weakness of the buyer/seller. The most common tool for this is divergence.

Schematic image:



Real-time example:



We always fix 80% of the position volume inside the range (near the borders), 20% can be left in case of a real exit from the range.

Bullish Example:

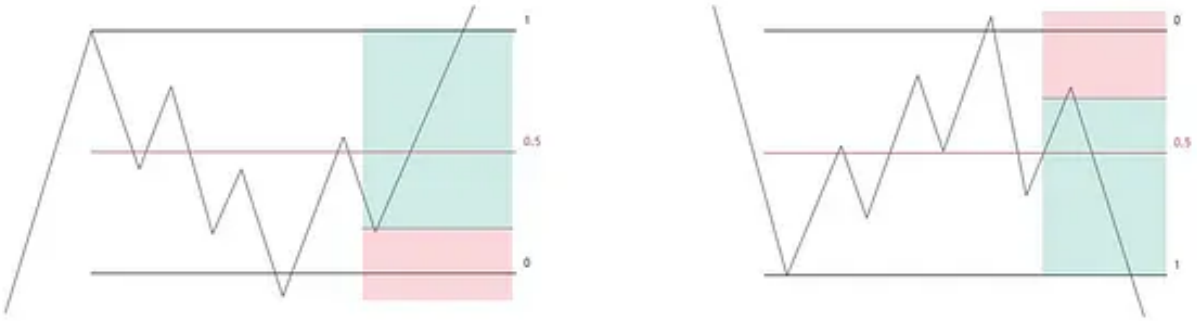


Bearish Example:

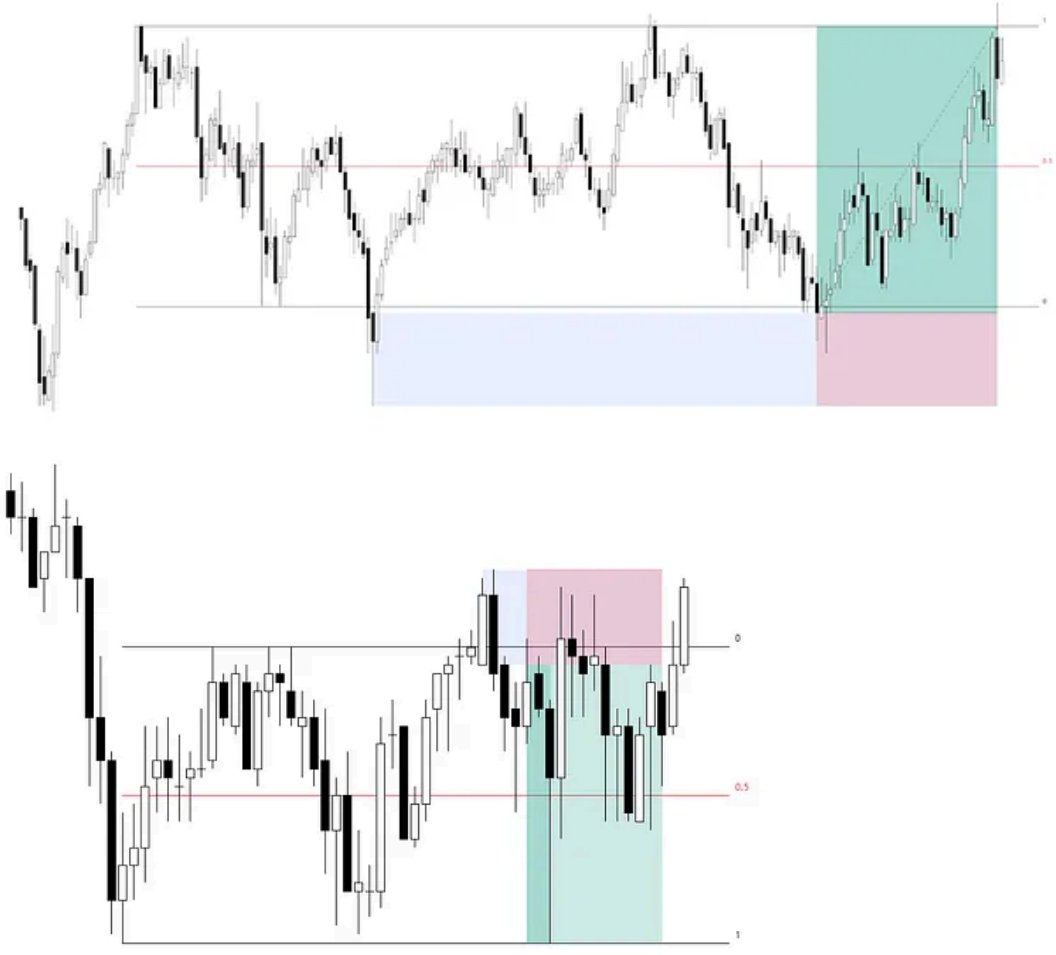


2. **Conservative** — the presence of POI above/below always acts as a strong magnet for the price, so we expect the price to move to this zone. Before that, positions are not opened inside the range. If the price does not react to the POI, we enter conservatively after the price returns and consolidates inside the range on the test of the range boundaries.

Schematic Example:



Real-time Example:



5. Components of Order Flow

1. Volume Analysis

Volume indicates the total number of contracts or shares traded at each price level.

High Volume Areas (HVA/HVN):

- Represent accepted prices (fair value)
- Price moves slowly through these zones
- Often become support/resistance
- Show where most trading activity occurred



Low Volume Areas (LVA/LVN):

- Represent rejected prices (unfair value)
- Price moves quickly through these zones
- Act as vacuum zones (price gets pulled through)
- Show areas of imbalance



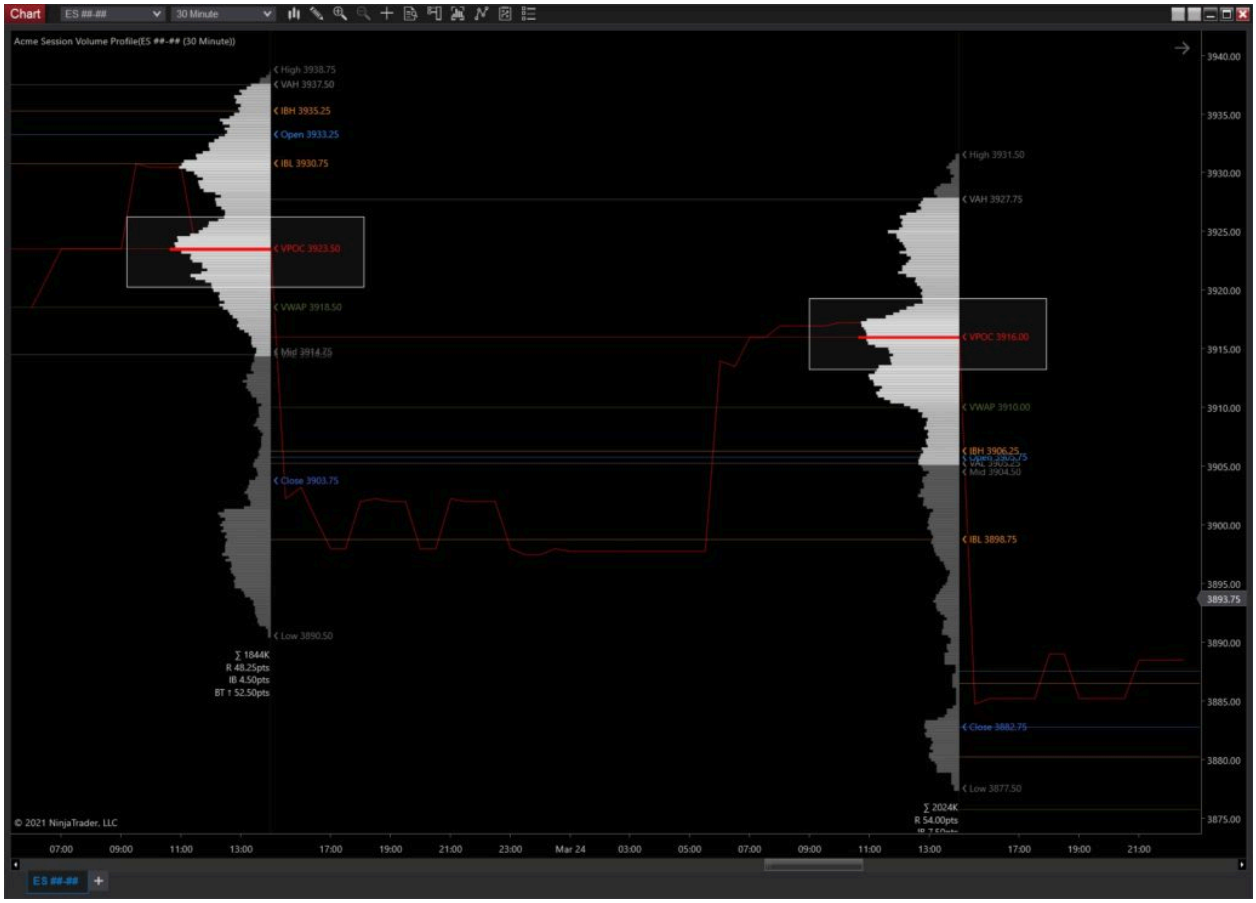
Key Insight: Price constantly oscillates between HVAs (balance) and moves through LVAs (imbalance), seeking the next balance zone.

How to Trade Volume Areas:

- **Enter at HVAs** - Use high volume zones as support/resistance for entries in the direction of the trend
- **Target through LVAs** - Expect fast price movement through low volume areas; don't place profit targets here
- **HVA to HVA** - Trade from one balance zone to the next, using LVAs as confirmation of momentum
- **Avoid ranging in LVAs** - Don't expect price to consolidate in low volume areas; it will seek the next HVA

2. Volume Point of Control (VPOC)

The VPOC is the price level with the highest volume traded during a specific period.



What VPOC Tells You:

- The "fairest" price based on actual trading
- Where most participants agreed on value
- Strong support/resistance in future sessions
- Magnetic level for price revisits

Naked VPOC: A VPOC that hasn't been re-tested is a high-probability target for future price movement.

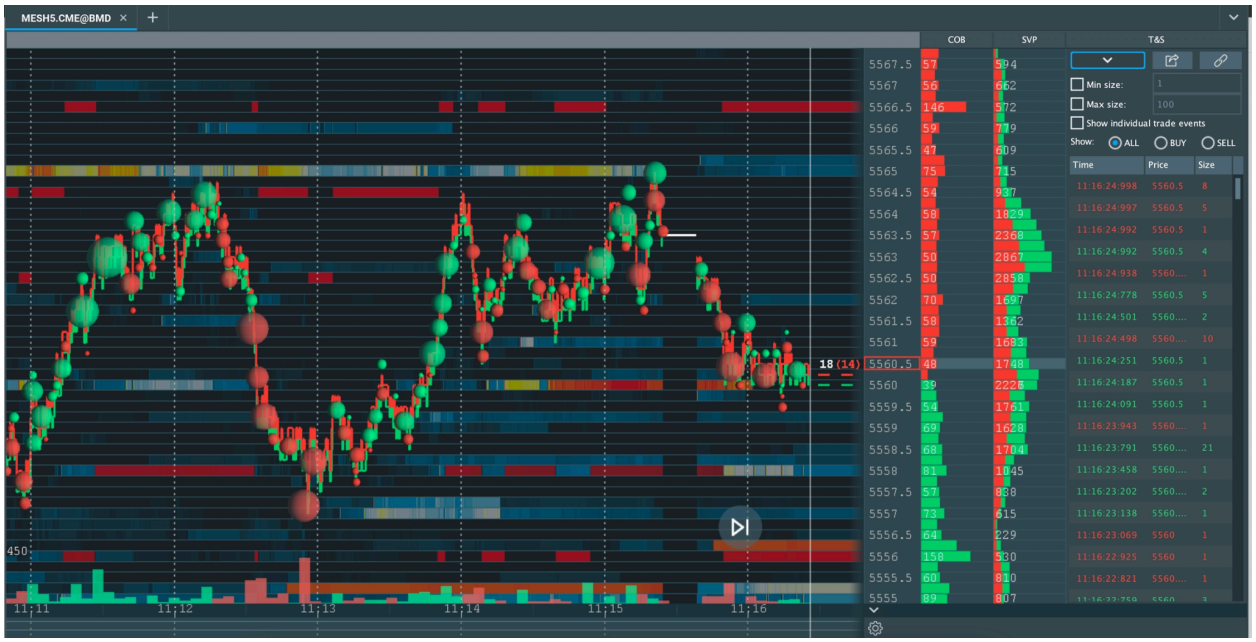


How to Trade VPOC:

- **Target naked VPOCs -** Price tends to revisit untested VPOCs; use them as profit targets or reversal zones
- **Fade at VPOC -** When price reaches a naked VPOC, look for reversal signals to trade back toward value
- **Use as support/resistance -** Previous session VPOCs often act as key levels in future sessions
- **Confluence confirmation -** Combine VPOC with other factors (Fibonacci, liquidity zones) for higher probability setups

The Heatmap

A heatmap provides visual representation of the order book, showing where limit orders are sitting at each price level.



Volume Dots - Executed Trades:

- **Green dots** = Aggressive buying (lifting the ask)
- **Red dots** = Aggressive selling (hitting the bid)
- **Larger dots** = Higher volume (institutional activity)
- **Smaller dots** = Lower volume (retail activity)

Volume dots show where large participants are taking action and whether liquidity is being absorbed or overwhelmed.

Heatmap Colors - Resting Orders:

- **Red/Dark Orange** = High liquidity zones (heavy orders stacked) - potential resistance/support
- **Yellow/Light Orange** = Moderate liquidity zones
- **Blue/Light Blue** = Low liquidity zones (price moves fast through these areas)

Important: Liquidity can be pulled, absorbed, or aggressively hit. Watch how price *reacts* to these levels, not just where they appear.



Current Order Book (COB)

Shows real-time limit orders:

- Above price = Sell limit orders (resistance)
- Below price = Buy limit orders (support)

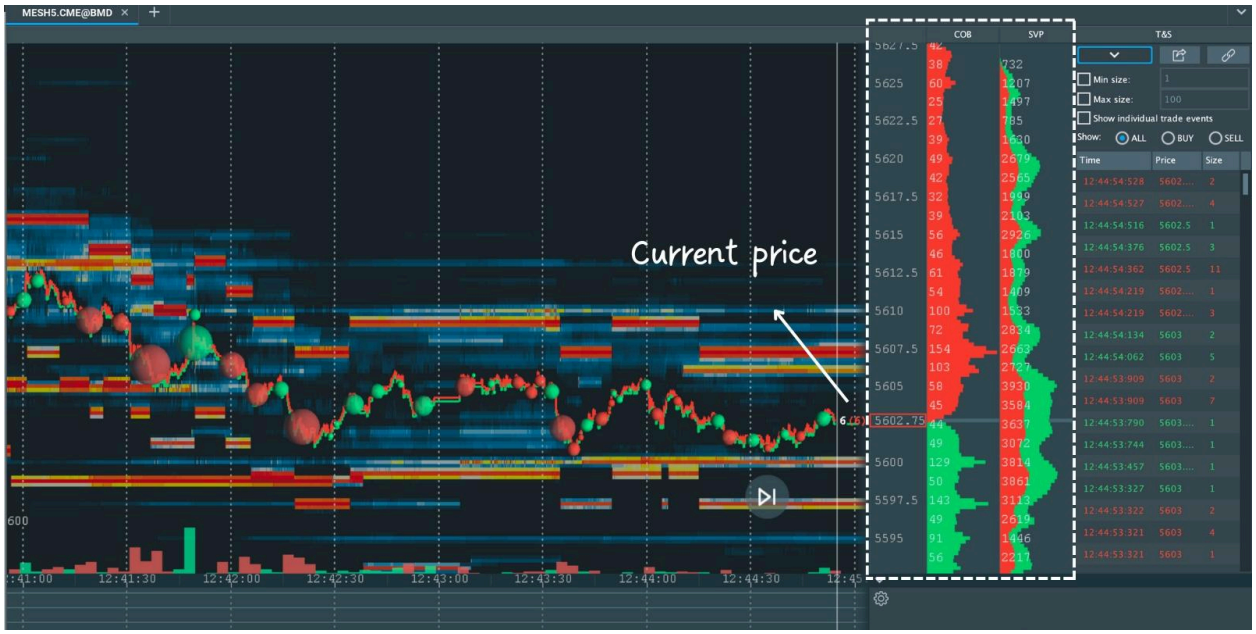
Important: Orders can be canceled or moved, so COB is constantly changing.

Session Volume Profile (SVP)

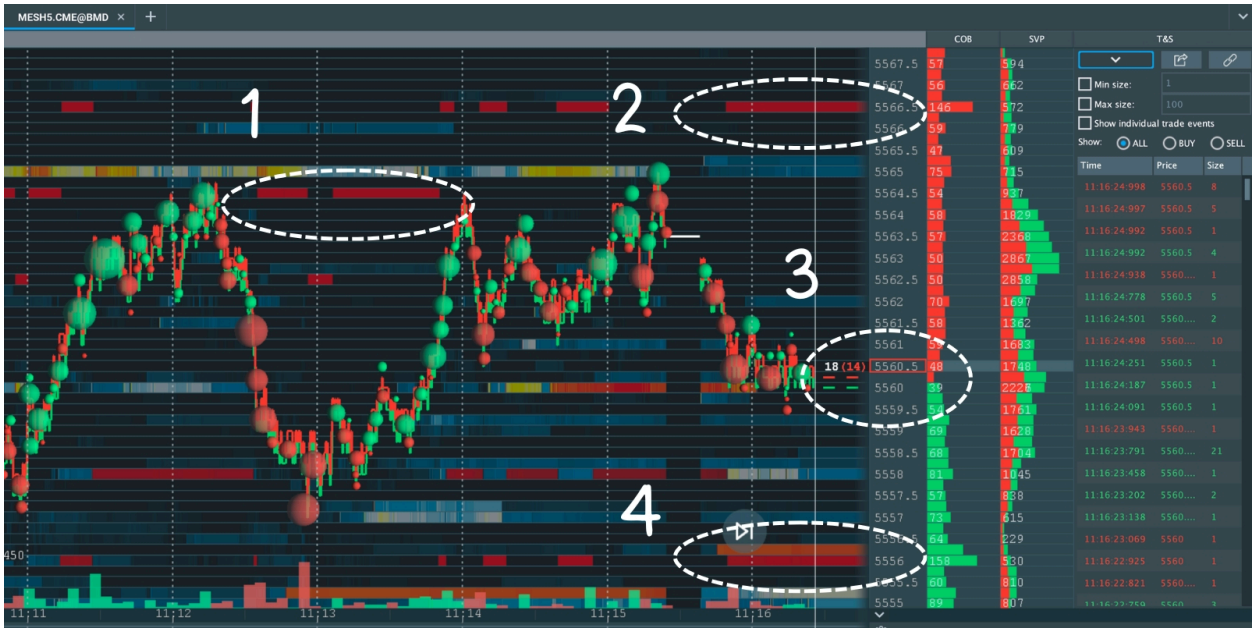
Shows where most volume has traded during the session:

- High volume areas = key support/resistance
- Price tends to revisit these zones
- Indicates areas of acceptance

SVP helps traders identify key areas of interest based on actual trading activity rather than just where orders are sitting. Combining it with COB gives a clearer picture of how liquidity and executed volume interact, helping traders make better decisions.



Let's take a look at this image and break it down.



1 - Liquidity Pulled (Fake Orders)

See those sell orders that were sitting there? Watch what happens when price gets close - they disappear! These orders were never meant to be filled. This is called spoofing - someone's trying to make it look like there's resistance, but there isn't. When you see this happen, it means the path is clear for price to keep moving up.

2 - Resting Sell Liquidity (Sellers Waiting)

Now here's where actual sellers are sitting with their limit orders. If price pushes up into this zone, these sellers *might* stop it - that's your potential resistance. But here's the key: just because orders are there doesn't mean they'll hold. Aggressive buyers can slam through them (absorption), or the sellers might chicken out and pull their orders. Stay flexible.

3 - Current Price (Where the Action Is)

This is where trades are happening right now. Those bubbles you see? That's real money moving:

- Red bubbles = Someone's aggressively selling
- Green bubbles = Someone's aggressively buying
- Big bubbles = Big players are getting involved (pay attention to these!)

4 - Resting Buy Liquidity (Buyers Waiting)

Here's where buyers have their orders stacked, ready to catch any dips. If price drops to this zone, these buyers *should* provide support. But again - don't assume it'll hold! Sellers can overwhelm them, the buyers might pull their orders, or it could just break right through. Watch how the price actually reacts when it gets there.

Identifying Real vs Fake Liquidity

Fake Liquidity (Spoofing)

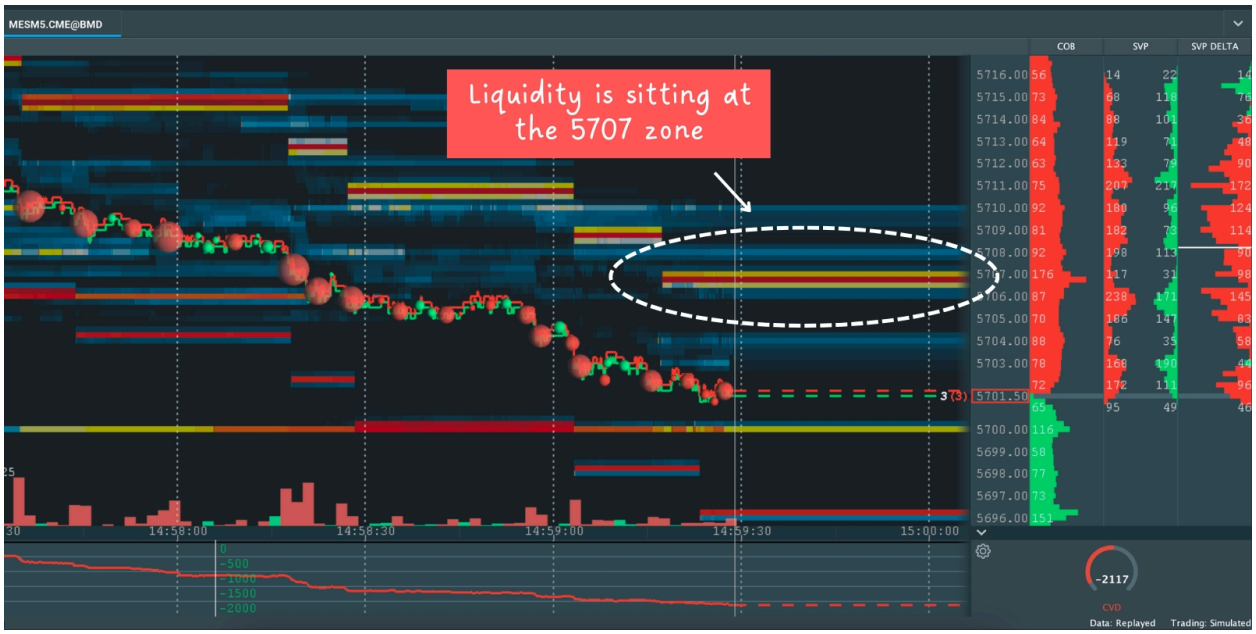
Orders that appear on the order book but are removed before execution.

Signs of Fake Liquidity:

- Large orders that disappear as price approaches
- Constantly shifting liquidity levels
- No reaction when price reaches the level
- Visible on heatmap but never executes

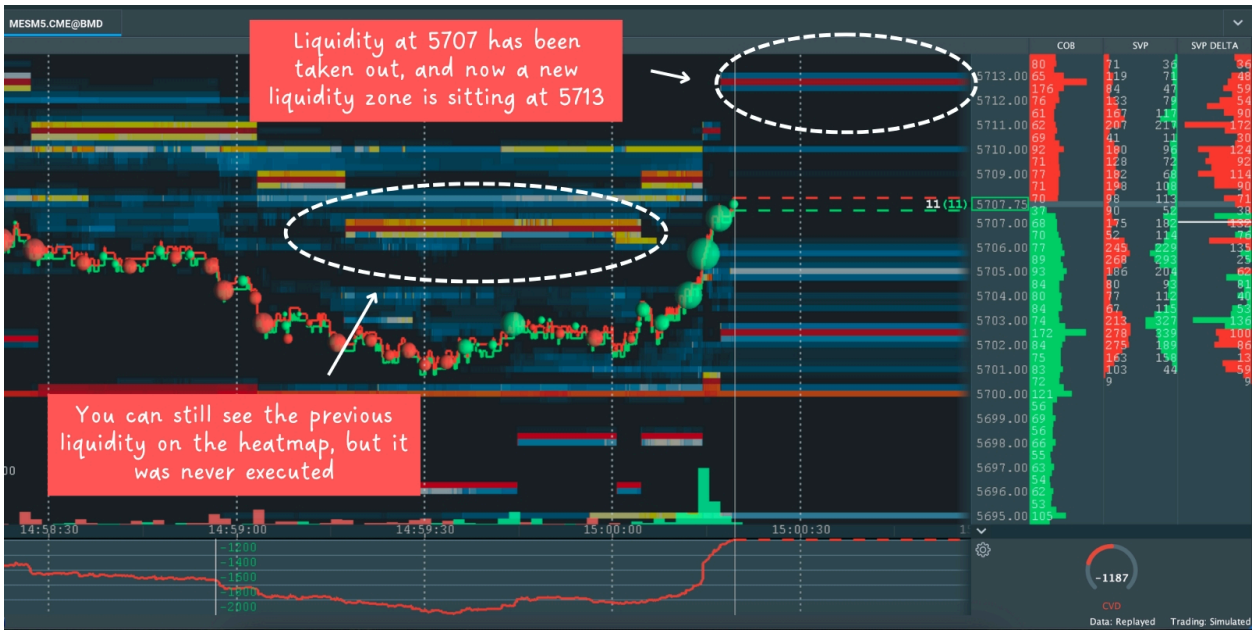
Let's take a look at an example:

Liquidity is sitting at 5707, appearing as a strong level, and you can see on the COB that limit orders are stacked at this price. Now, let's see what happens when the price reaches this zone.



When the price reaches 5707, the liquidity gets taken out and is now sitting at 5713.

You can still see on the heatmap where the previous liquidity was sitting, but it was never executed.



This is a clear example of fake liquidity, where orders are placed to create the illusion of supply or demand but are removed before execution. That's how you spot spoofing and liquidity manipulation in the order book.

Real Liquidity

Genuine orders that remain and get executed.

Signs of Real Liquidity:

- Orders stay in place as price approaches
- Clear price reaction when level is touched
- Visible execution (volume dots appear)
- Absorption or reversal at the level

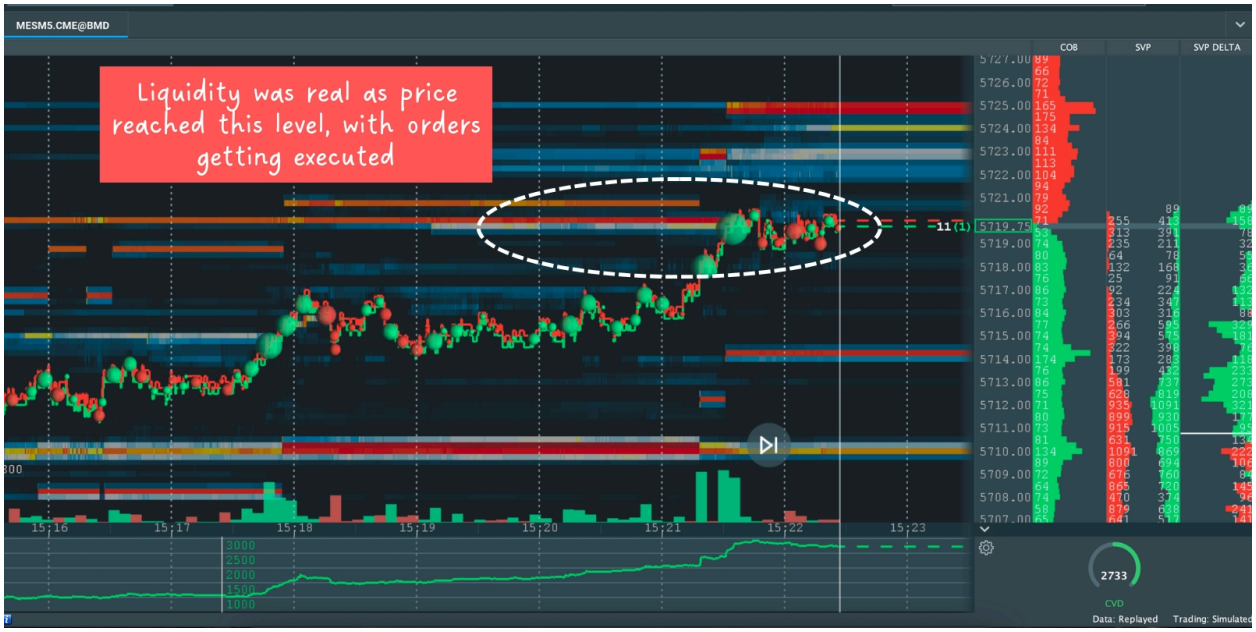
Let's look at another example:

You can see we have limit orders sitting at this level, appearing as a strong liquidity zone. Let's see what happens when the price reaches this area.



Now, as the price reaches this zone, the orders remain in place, confirming that they are real and not being removed. Instead of price running through the level, we see a reaction, indicating absorption. The red bubbles show executed sell orders, proving that liquidity at this level was real and actively traded.

This is how you identify real liquidity, where large orders are actually executed rather than disappearing before the price reaches.



By visually analyzing liquidity on the heatmap, traders can avoid being misled by false order book activity and focus on real supply and demand zones. Fake liquidity often disappears before execution, while real liquidity remains at key levels and leads to visible market reactions.

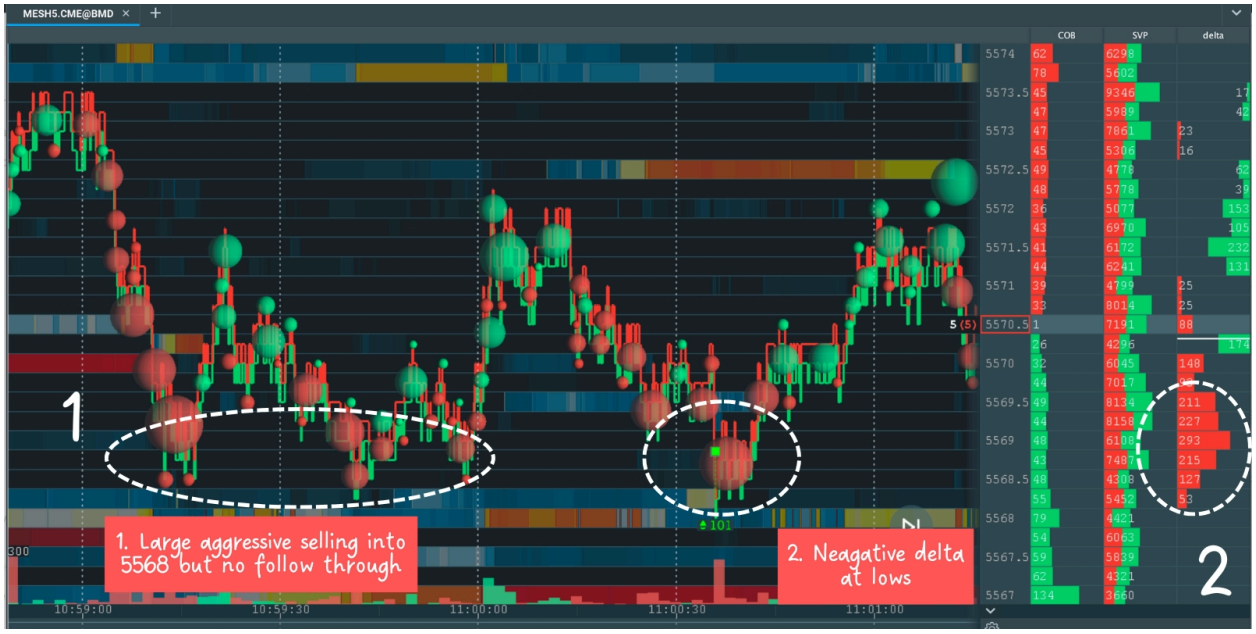
Heatmap Trading Setups

Absorption

Occurs when aggressive orders hit a level with strong resting liquidity, but price fails to break through.

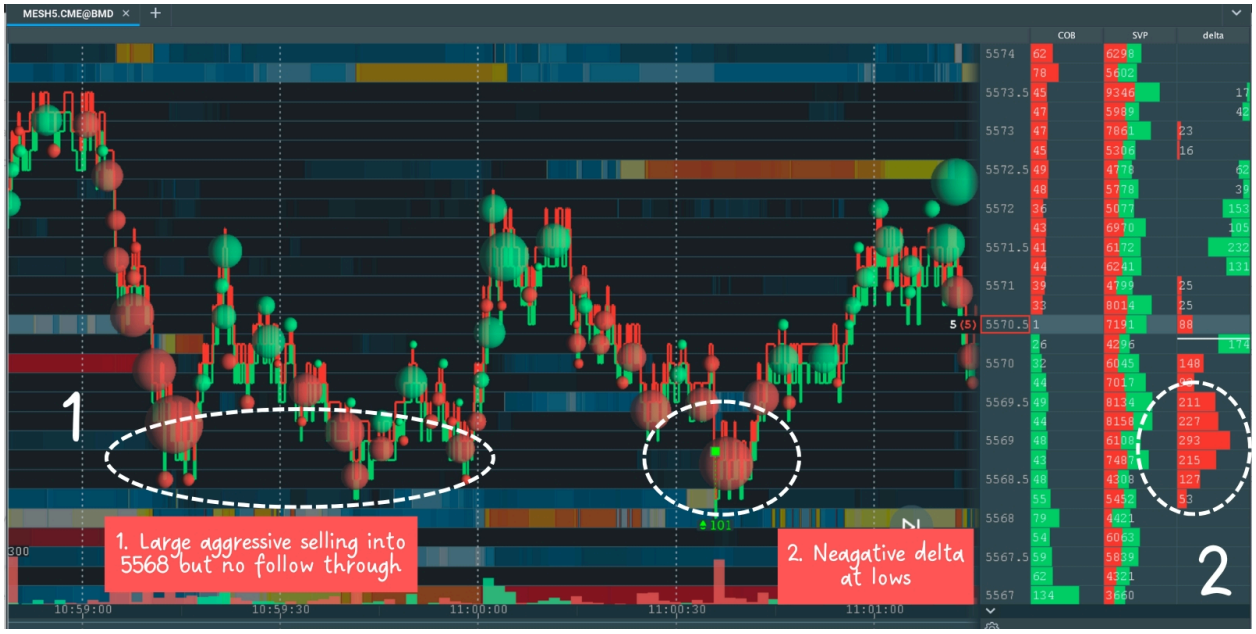
Absorption on Buy Side:

- Heavy selling pressure (red volume dots)
- Price fails to move lower
- Negative delta but price stable/rising
- Resting buy orders absorbing the selling



Absorption on Sell Side:

- Heavy buying pressure (green volume dots)
- Price fails to move higher
- Positive delta but price stable/falling
- Resting sell orders absorbing the buying



Trading Absorption:

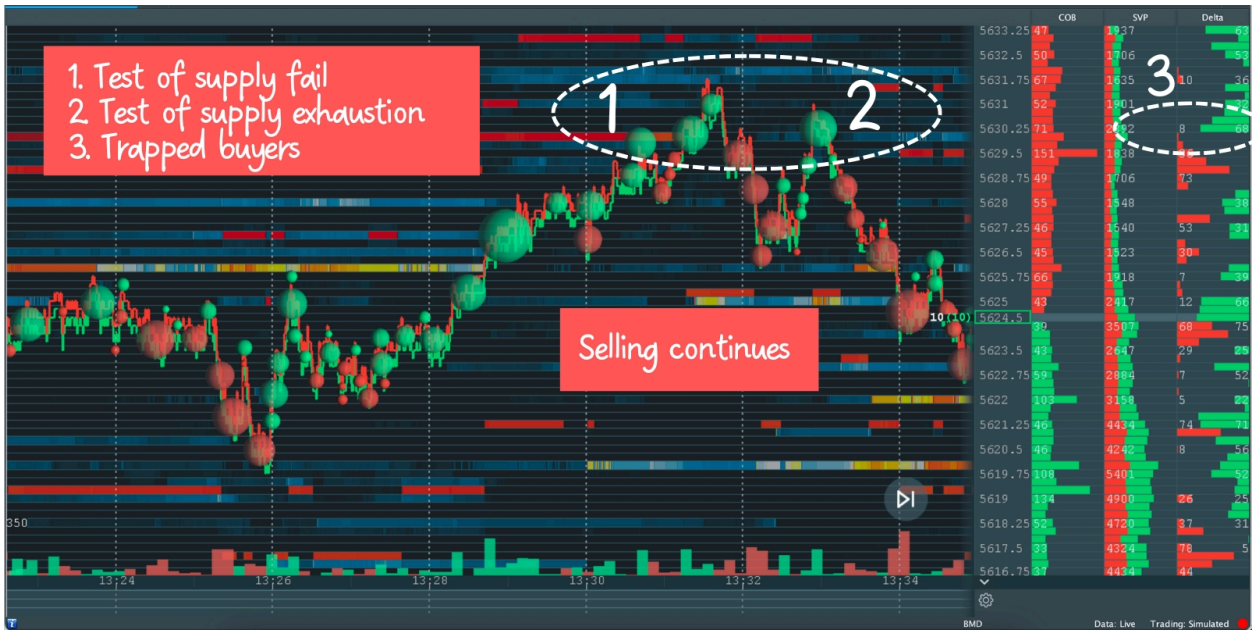
1. Identify strong liquidity zone
2. Watch for aggressive orders hitting the level
3. Confirm price isn't breaking through
4. Enter in direction of absorption (fade the aggressive side)
5. Stop beyond the absorption zone
6. Target opposite liquidity zone

Exhaustion

When aggressive traders run out of momentum and can't push price further.

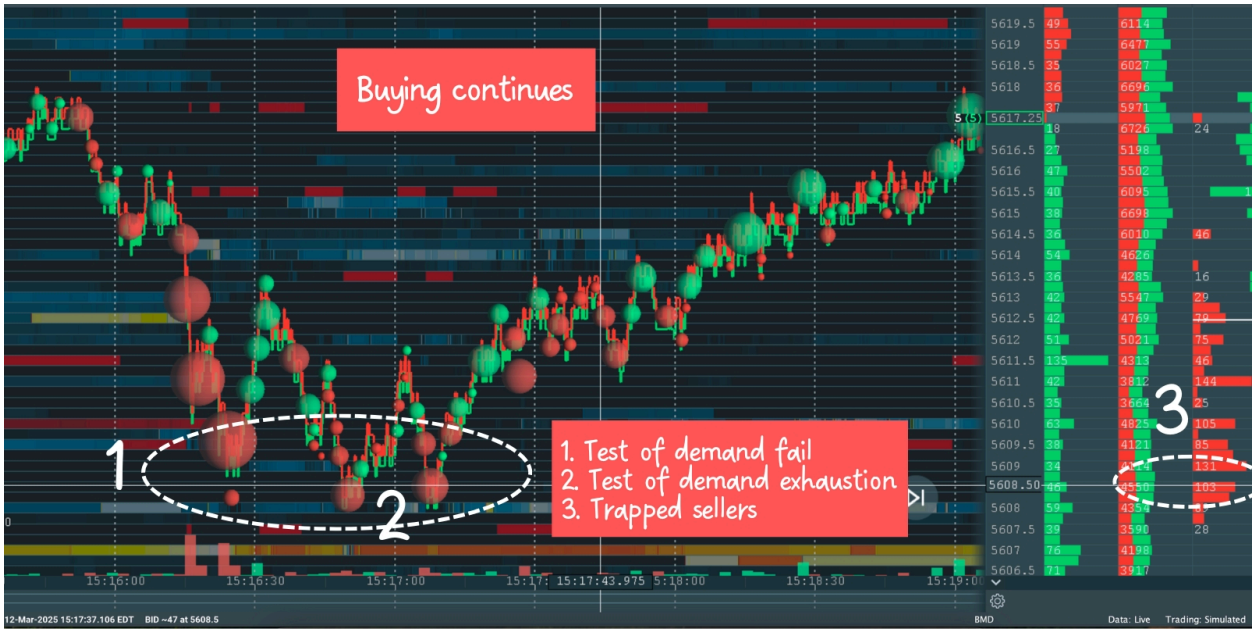
Buy Side Exhaustion:

- Multiple green volume dots (aggressive buying)
- Price barely moves up or starts falling
- Positive delta but no price follow-through
- Buyers running out of steam



Sell Side Exhaustion:

- Multiple red volume dots (aggressive selling)
- Price stabilizes or starts rising
- Negative delta but price holds/reverses
- Sellers running out of steam



Trading Exhaustion:

1. Identify aggressive one-directional push
2. Watch for momentum to fade (smaller dots, less movement)
3. Look for reversal signals (opposite color dots)
4. Enter against exhausted direction
5. Stop at recent extreme
6. Target back to value area or opposite liquidity

6. Market Profile & TPO (Time Price Opportunity)

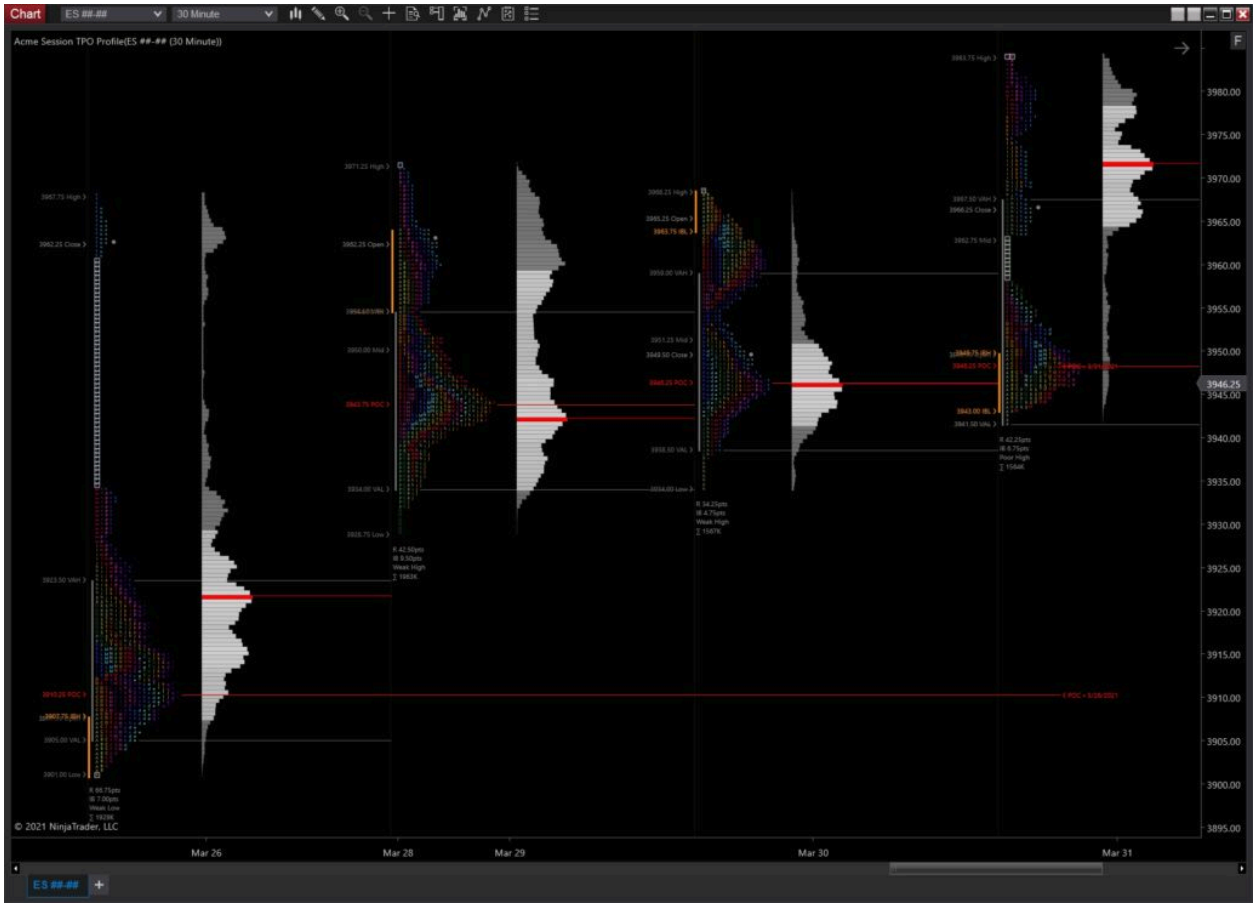
What is Market Profile?

Market Profile organizes price and time data into a visual structure that reveals:

- Where price spent the most time
- Areas of balance vs imbalance
- Potential support and resistance zones

TPO Basics

TPO (Time Price Opportunity) uses letters or blocks to represent time spent at each price level.



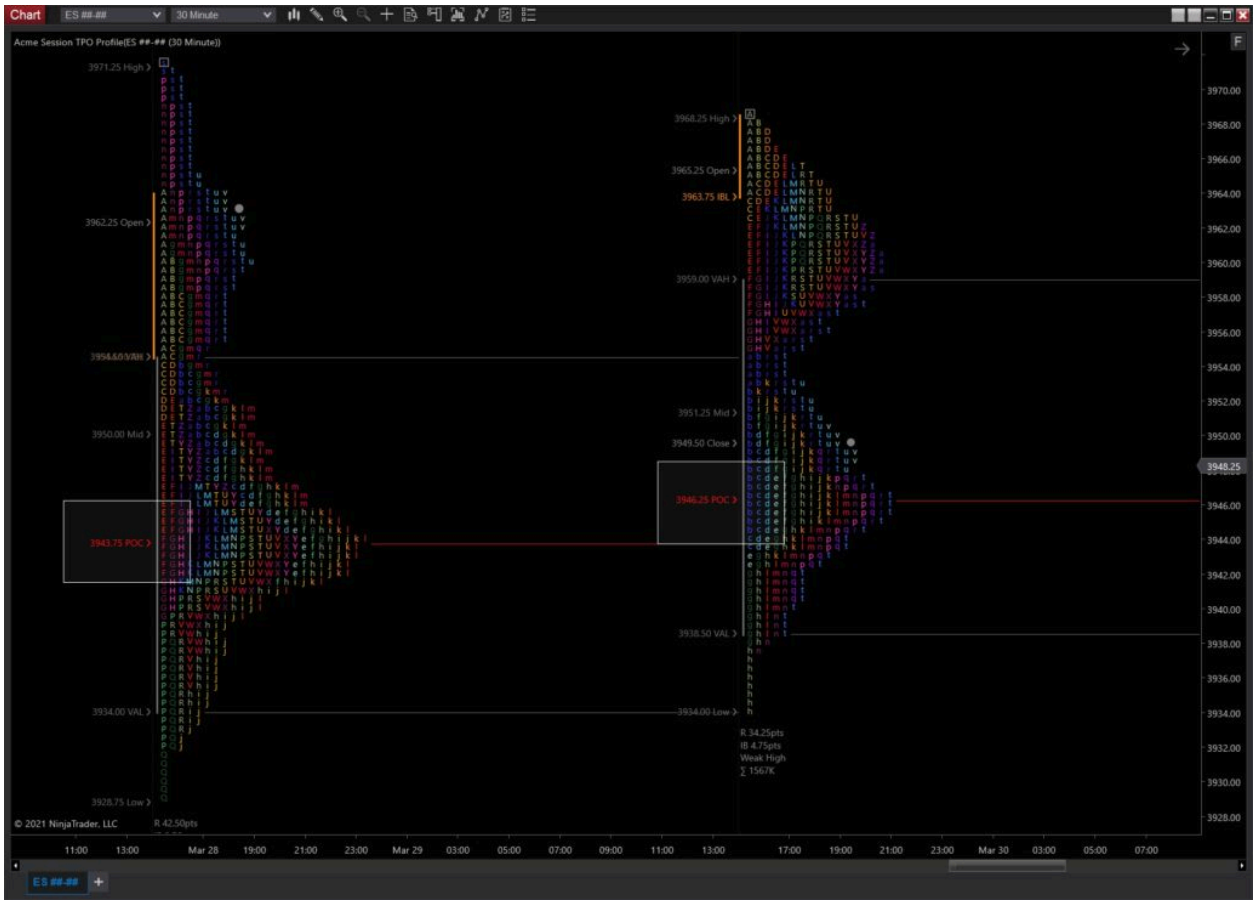
Bracket/Period: A unit of time (traditionally 30 minutes)

- Each bracket gets a unique letter or color
- Each price touched during that bracket gets marked
- More marks = more time spent = more important level

Key TPO Concepts

Point of Control (POC)

The price level where the most time was spent during the profiled period.



Similar to VPOC but uses time instead of volume:

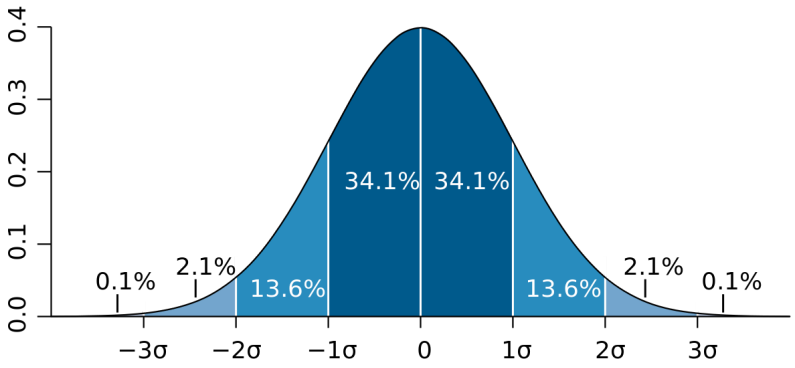
- Represents "fairest" price based on time
- Strong support/resistance level
- Magnetic for price revisits

Value Areas

Among all TPO and volume profiling concepts, the value area is probably the most widely used yet least understood. It relies on standard deviations, a basic statistical tool, to define the range of prices where most trading activity or "value" occurs. However, it is important to treat the value area as a guideline rather than a strict rule.

There are two reasons for this. First, the way standard deviation is applied in calculating value areas is not the same as in traditional statistical analysis. More on that later. Second, there are multiple ways to calculate a value area, each slightly different, but none definitively right or wrong.

Let's look at the first reason. In statistics, the standard deviation measures how much of a normal distribution falls within a certain distance from the mean, or average. One standard deviation from the mean in a normal distribution includes 68.2% of the data, with 34.1% on each side of the mean.



You might be thinking, "Wait, that looks like a volume profile!" And you'd be right, mostly. But only a few volume profiles actually form a *normal distribution* (in the statistical sense, not the "ordinary" one). Those are rare; most volume and TPO profiles are far from symmetrical, with multiple peaks, valleys, and means that sit off-center.

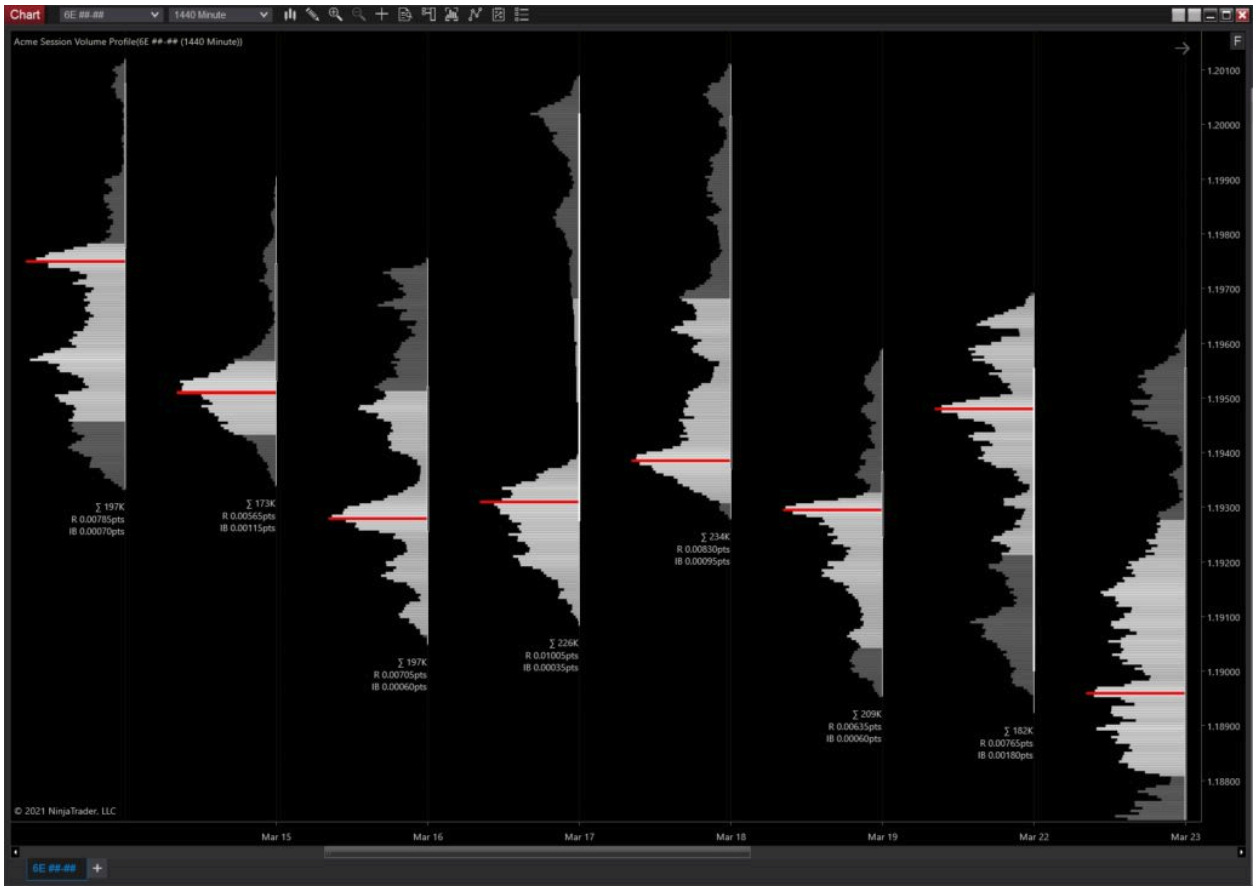
Here are the main differences:

- Instead of using the mean, volume and TPO profiles use the POC or VPOC (the mode) as the center of the value area. If that point is skewed, the value area skews with it.

- Value areas aren't always balanced; there may be more prices above or below the POC/VPOC.

- The width of a value area is configurable. In normal statistics, one standard deviation covers about 70% of values, but in most platforms (including Acme) users can set this width manually - so comparisons across tools require matching settings.

- Finally, value area calculations often follow traditional rules rather than pure math. For example, if multiple prices share the highest TPO count, the POC is set at the one nearest the profile's center. Most systems also favor nearby prices with higher volume or TPOs, leading to asymmetrical shapes:



So you see, value areas are not really what you might call examples of mathematical precision and simplicity, unlike the strictly-defined standard deviation. This does not mean value areas are not useful – they very much are. But they can vary a bit from product to product and even data feed to data feed, and this is normal.

Components:

- **Value Area High (VAH):** Upper boundary
- **Value Area Low (VAL):** Lower boundary
- **POC:** Usually near the center

Trading Implications:

- Inside value area = accepted prices
- Outside value area = seeking new value
- Returns to value area are common

Initial Balance (IB)

The range of prices in the first hour of trading (or first two 30-minute brackets).



Why IB Matters:

- Contains overnight order execution
- Sets tone for the session
- Extensions beyond IB are significant

IB Extensions:

- Each extension = 50% of IB range
- Further extensions less likely to be reached
- Used as profit targets

Opening and Closing Prices

Opening Price:

- First price of session
- Trading below open often shows weakness
- Trading above open shows strength

Closing Price:

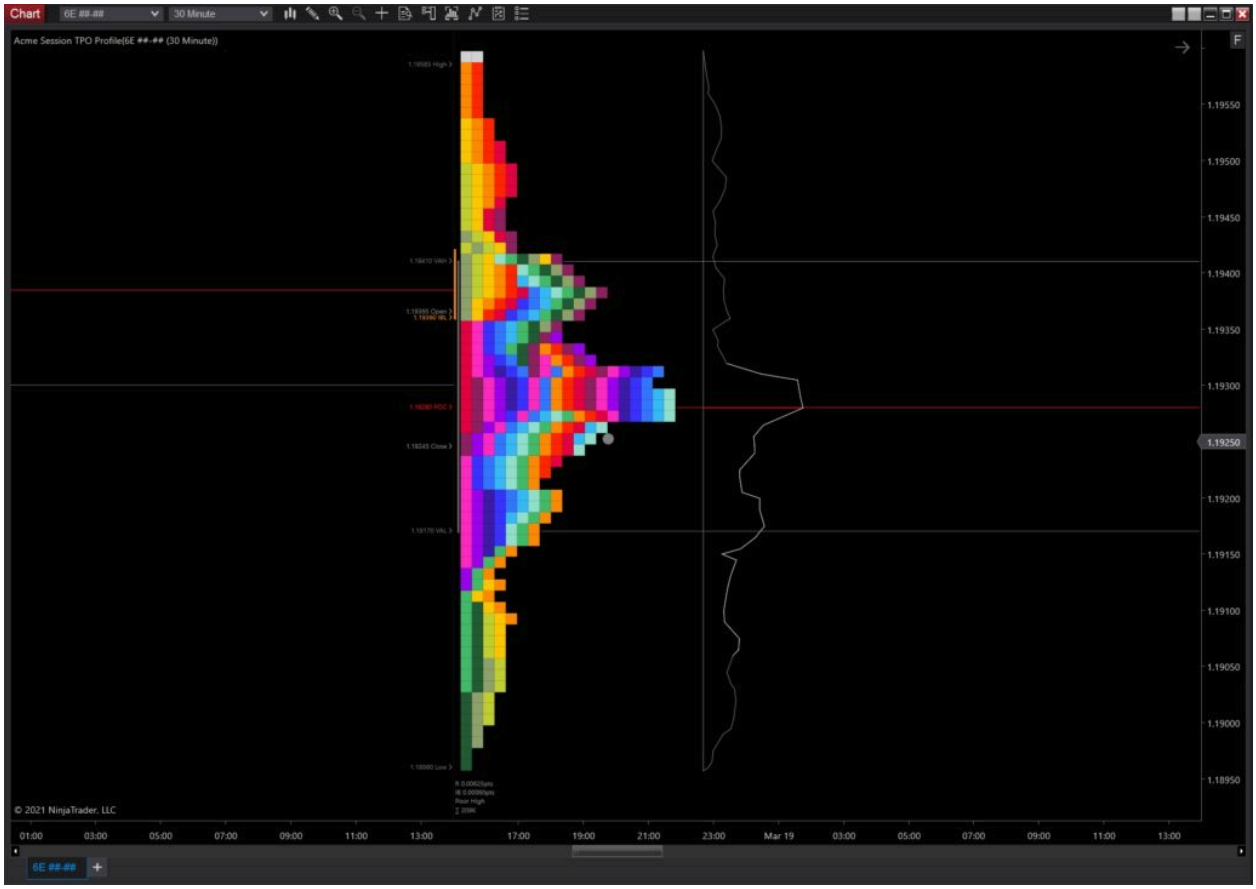
- Last price of session
- Frequently revisited in subsequent sessions
- "Naked" closes (untested) are magnets

Profile Types

Balanced Profile

Shows clear bell-curve shape:

- Fat middle (POC in center)
- Thin edges
- Symmetric appearance



Indicates:

- Market found fair value
- Buyers and sellers in equilibrium
- Likely to break soon (new information needed)

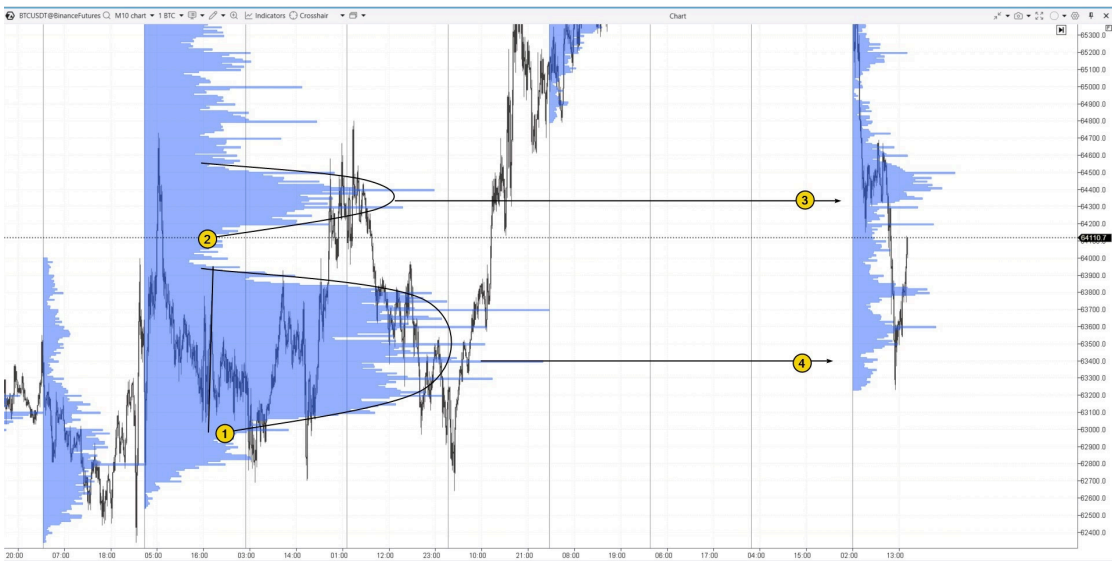
Two Types of Balance:

1. **High Volume Balance (Tight Range)**
    - Significant clash between buyers/sellers
    - Someone will run out of ammunition
    - Breakout likely to be explosive
2. **Low Volume Balance (Tight Range)**
    - Market waiting for information
    - No urgency to trade
    - Slow drift until catalyst

Imbalanced Profile

Skewed, elongated, or irregular shape:

- POC not in center
- Asymmetric structure
- Extended tails



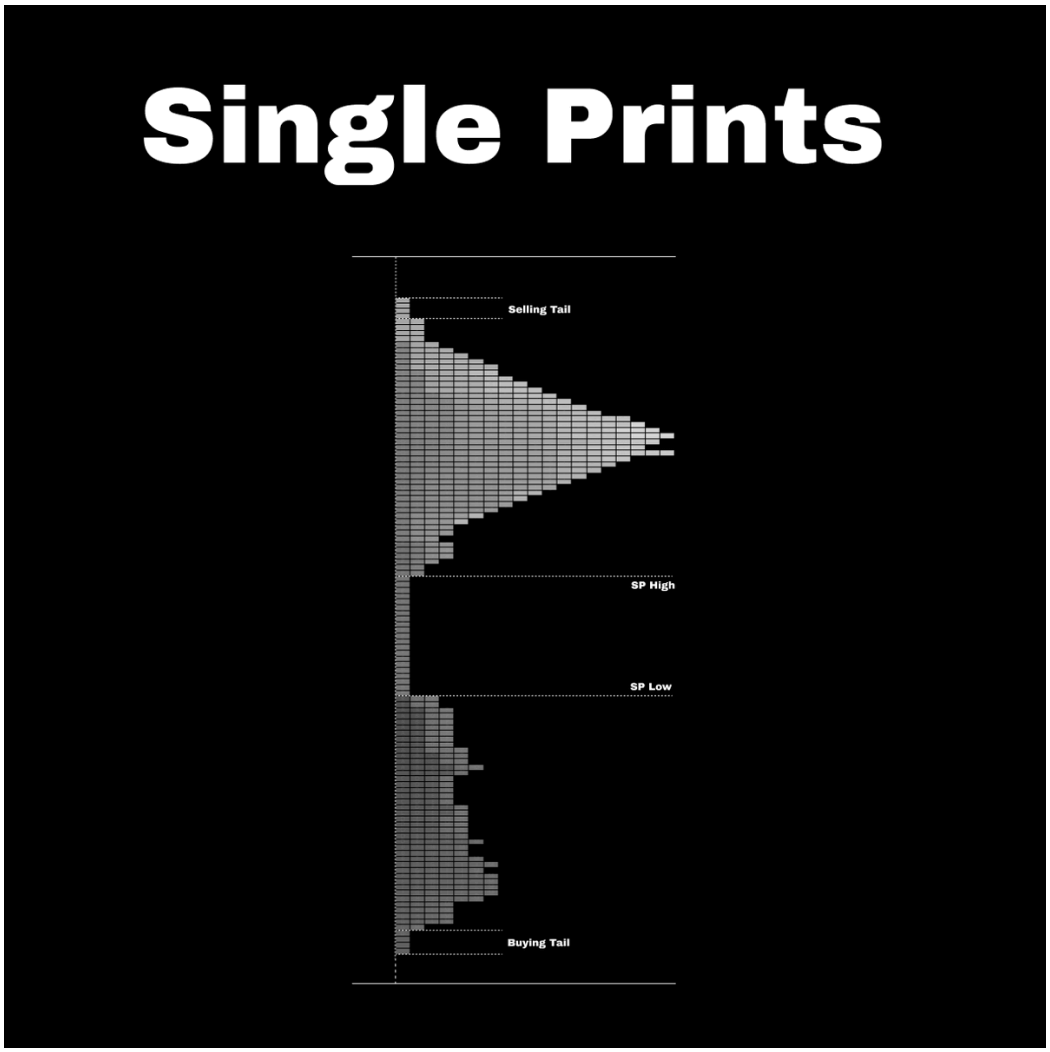
Indicates:

- Market in discovery mode
- Seeking new fair value
- Directional bias present

TPO Pattern

Single Prints

Individual TPO letters in middle of profile (not at edges).



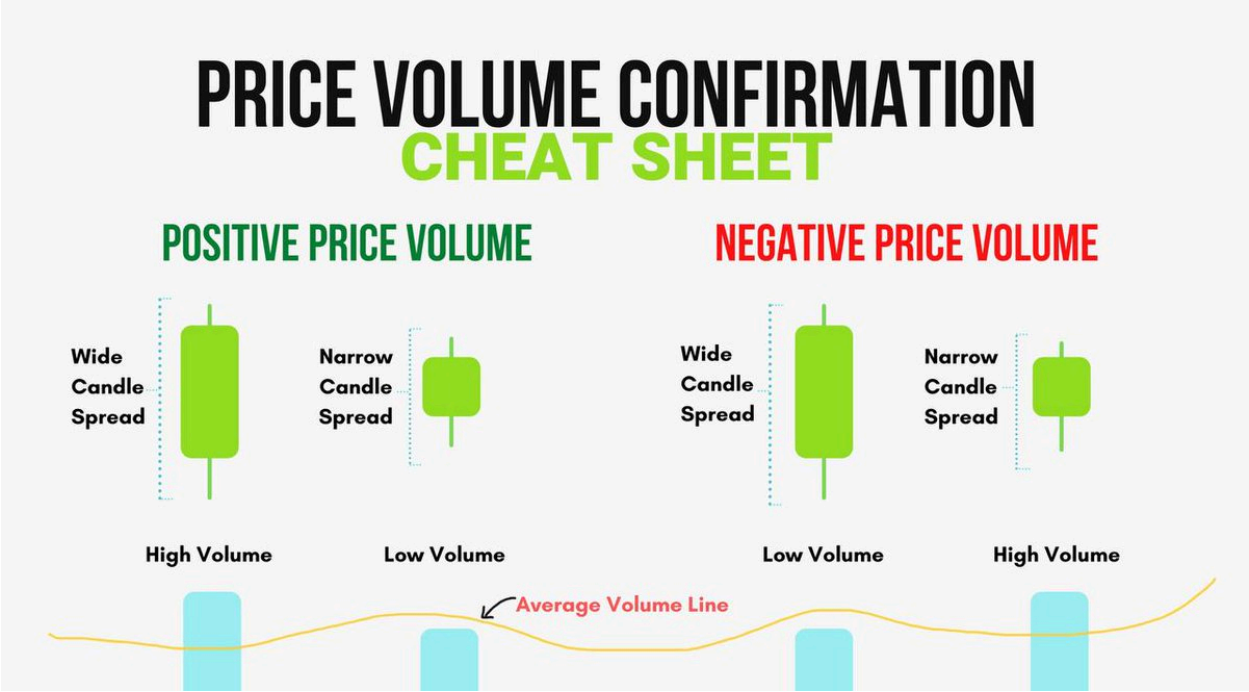
Created by: Impulsive moves leaving gaps **Trading Value:**

- May be revisited soon (unfilled value)
- If not revisited, become boundaries between zones
- Act as support/resistance

7. Volume Analysis

Volume Fundamentals

Volume is the most basic and oldest indicator - it shows the total amount of contracts/shares traded.



High Volume:

- Strong interest at current price
- Significant move likely to follow
- Confirms price action

Low Volume:

- Weak interest
- Price likely to reverse or stall
- False moves common

Volume in Context

Volume alone is meaningless - you must understand the context:

Volume at Support



High buying volume at support:

- Confirms support level
- Buyers stepping in aggressively
- Likely to bounce

Low volume at support:

- Weak support
- May break through
- Buyers not interested

Volume at Resistance



High selling volume at resistance:

- Confirms resistance level
- Sellers defending level
- Likely to reject

Low volume at resistance:

- Weak resistance
- May break through
- Sellers not present

Volume During Trends



Healthy Uptrend:

- Increasing volume on up moves
- Decreasing volume on pullbacks
- Confirms trend strength

Healthy Downtrend:

- Increasing volume on down moves
- Decreasing volume on bounces
- Confirms trend strength

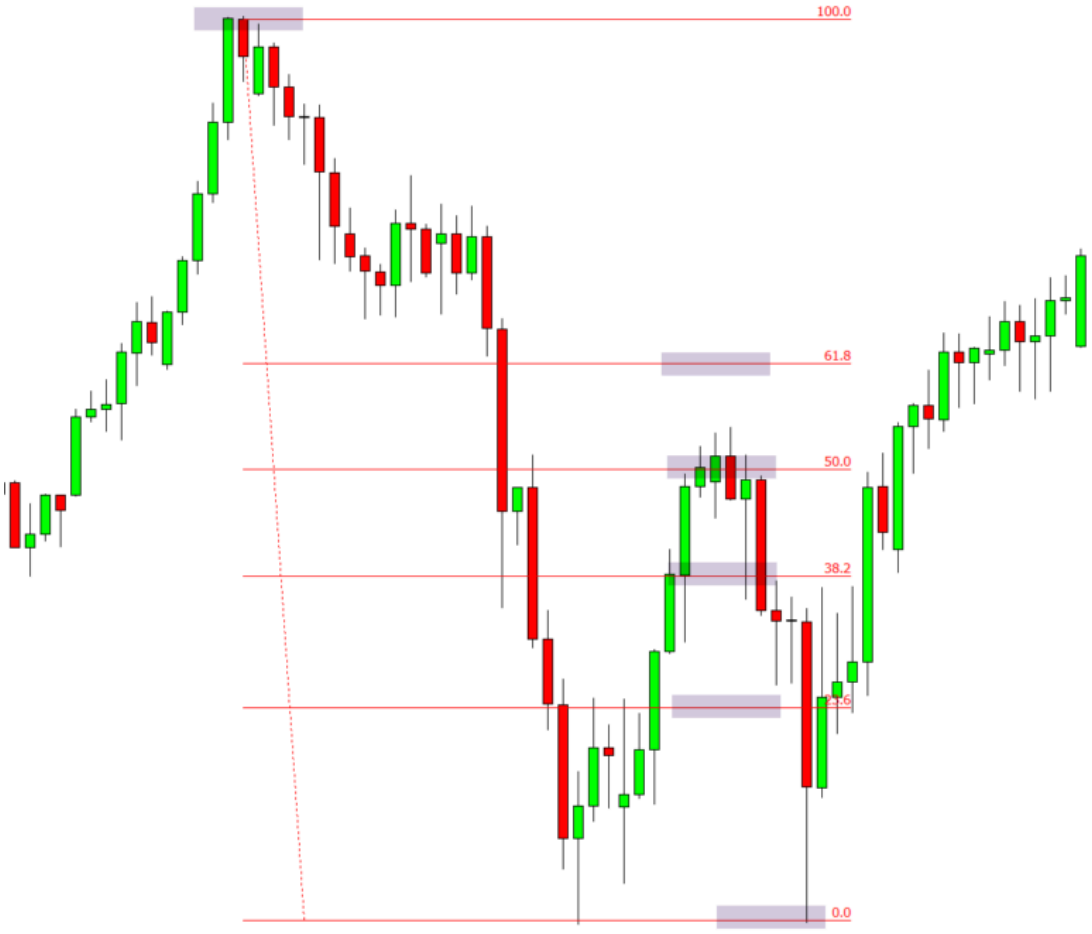
Unhealthy Trend:

- Decreasing volume in trend direction
- Increasing volume on corrections
- Divergence - trend likely ending

8. Fibonacci in Liquidity Trading

Fibonacci Retracements

Fibonacci levels identify potential support/resistance based on mathematical ratios derived from the Fibonacci sequence.



The Golden Pocket (0.618 - 0.65)

The most critical Fibonacci zone for reversals.



Why It Works:

- Mathematical significance (golden ratio)
- Where smart money often enters
- Retail stops clustered below/above
- High probability reversal zone

Trading the Golden Pocket:

1. Identify strong trend move
2. Plot Fibonacci from swing low to swing high (or vice versa)
3. Wait for retracement into 0.618-0.65 zone
4. Look for confirmation:
    - Reversal candlestick patterns
    - Volume increase
    - Divergence on RSI
    - Support from other technical factors
5. Enter with stop below 0.786
6. Target Fibonacci extensions

Fibonacci Extensions

Used to project profit targets beyond the initial move.



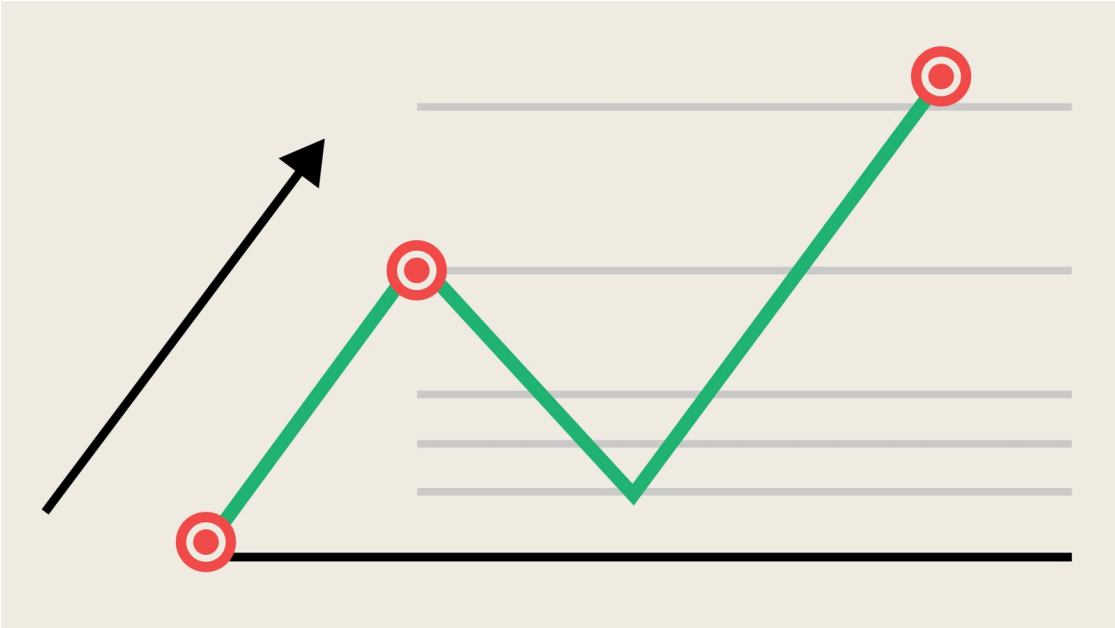
Key Extension Levels:

- **-1.618 (161.8%)** - Conservative target
- **-2.618 (261.8%)** - Aggressive target (strong trends)

How to Use:

1. Identify trend move (A to B)
2. Wait for retracement (B to C)
3. Enter at Fibonacci retracement level
4. Target -0.618 extension (first target)
5. Target -1.618 extension (second target)

Drawing Fibonacci Correctly



Uptrend:

- Start at swing low
- End at swing high
- Retracement levels appear below high

Downtrend:

- Start at swing high
- End at swing low
- Retracement levels appear above low

Fibonacci Best Practices

1. **Use higher timeframes** (1H, 4H, Daily) for reliability
2. **Look for confluence** with other indicators
3. **Wait for confirmation** before entering
4. **Backtest** to understand typical behavior
5. **Combine** with volume and order flow analysis

9. Balance Breaks & Breakout Trading

Understanding Balance

Balance represents market equilibrium - where buyers and sellers agree on fair value based on available information.

Balance Characteristics:

1. Defined by swing high and swing low
2. Price rotates within the range multiple times
3. Visually symmetric structure
4. Volume profile shows bell curve distribution
5. VPOC/VWAP near center

Examples:







The Market Cycle

The market has one primary job with two phases:

Phase 1: Achieve Balance

- Bring buyers and sellers together
- Find fair value at current information levels
- Create equilibrium zone

Phase 2: Break Balance or Breakout

- When new information enters market
- When new participants arrive
- Price seeks new fair value

This cycle repeats endlessly: Balance → Break → New Balance → Break

Why Balances Break

1. **New Information:** News, economic data, earnings
2. **Technical Triggers:** Key levels breached
3. **Liquidity Sweep:** Stops triggered outside range
4. **Institutional Positioning:** Large orders need to be filled

Identifying Mature Balances

A "mature" balance is ready to break. Look for:

Time Factor:

- Balance has existed for significant period
- Multiple touches of both boundaries
- Decreasing volatility inside range

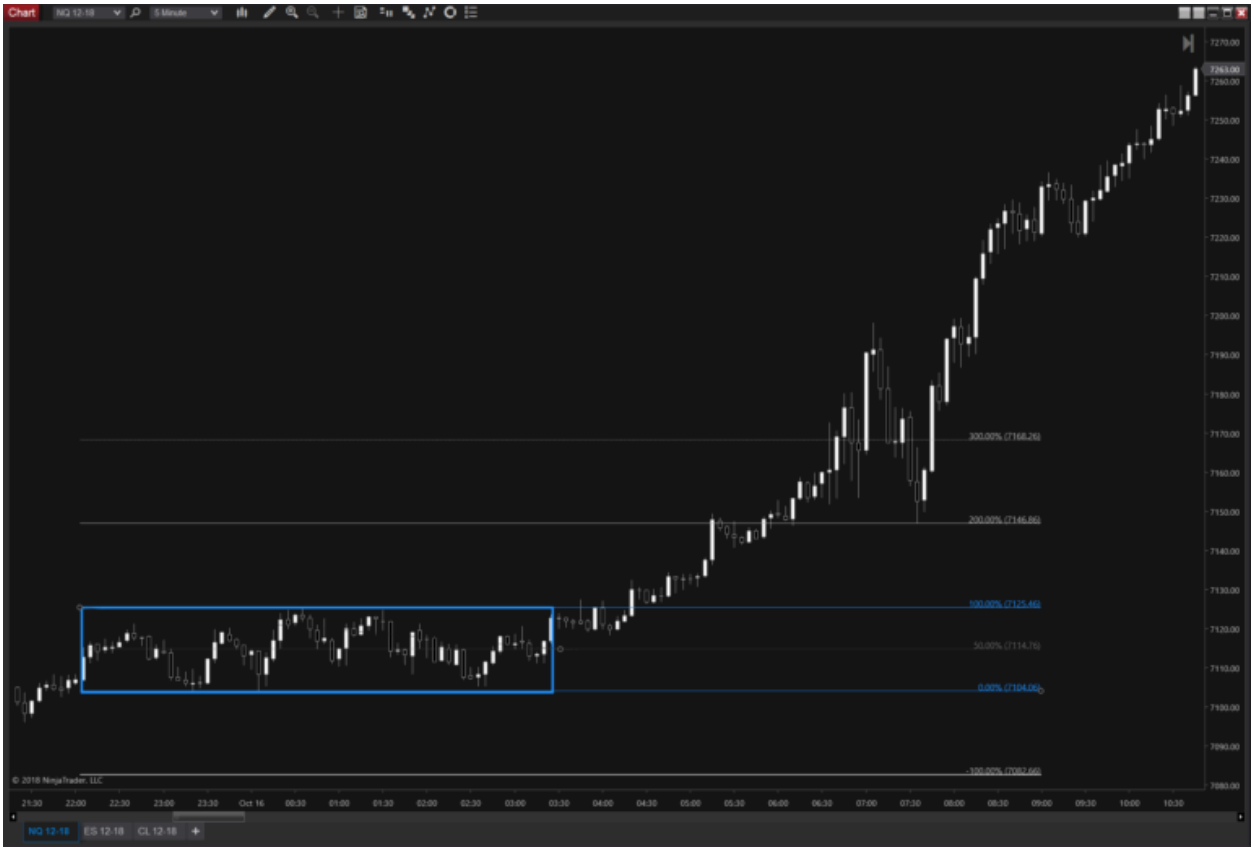
Structure Factor:

- Clear symmetric profile
- VPOC in center
- Value area well-defined
- Volume increasing at boundaries

Compression Factor:

- Range tightening over time
- Lower highs and higher lows
- "Coiling" appearance

Here's an example of a "mature" balances:



Trading Balance Breaks

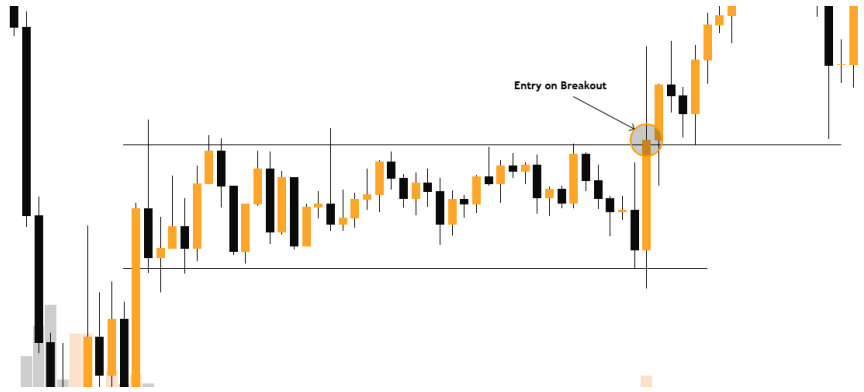


The Setup

1. **Identify the Balance:** Clear range with multiple touches
2. **Measure the Range:** High to low distance
3. **Set Targets:**
    - **100% Extension:** One times range height
    - **200% Extension:** Two times range height
4. **Place Stop:** At center of range (50% level)

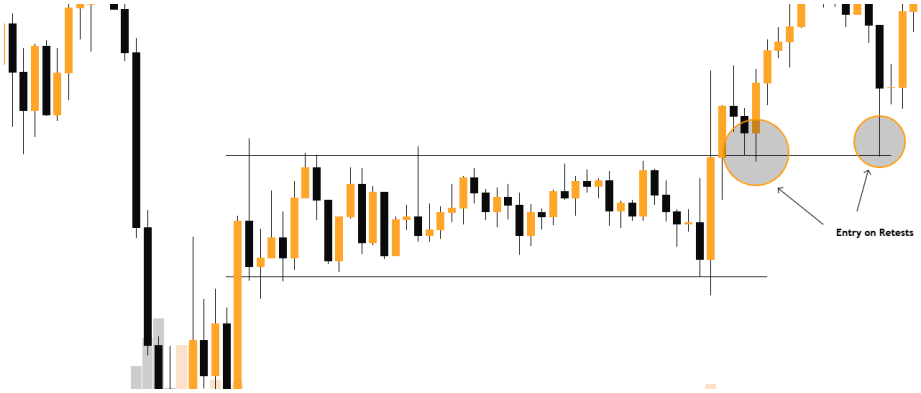
Entry Methods

Method 1: Breakout Entry



- Enter when price closes outside balance
- Requires strong volume confirmation
- Risk: False breakouts common

Method 2: Retest Entry



- Wait for breakout
- Enter on pullback to range boundary
- Lower risk, better entry
- May miss some moves

10. Practical Trading Strategies

Strategy 1: Range Reversal Setup

Best For: Beginners, lower-risk trading

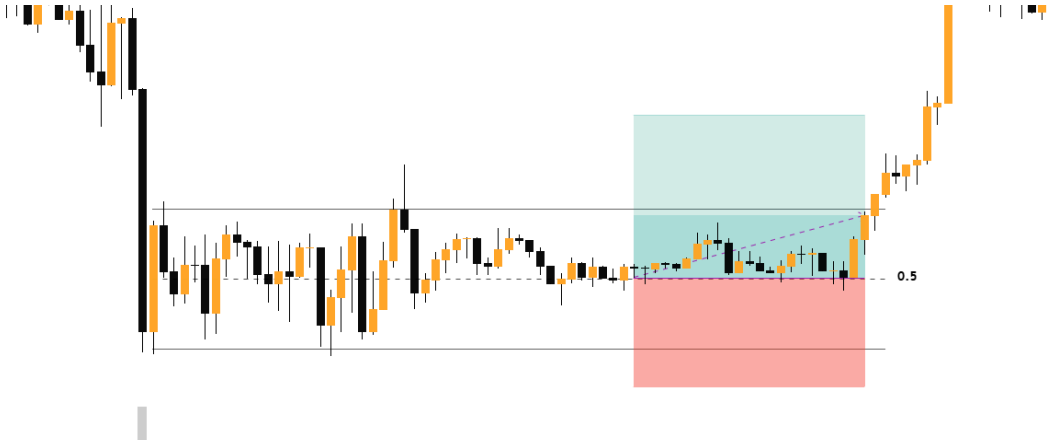
Requirements:

1. Clear range structure (0.5 level reaction)
2. Price at range boundary
3. Confluence factor (POI, Fibonacci, previous high/low)
4. Reversal confirmation (candlestick pattern, divergence)

Entry: At range boundary after confirmation
Stop: Just outside range (5-10% of range height)
Target: Opposite range boundary

Risk-Reward: Typically 1:3 to 1:5

Example:



Strategy 2: Deviation Fade

Best For: Intermediate traders, volatile markets

Requirements:

1. Established range with multiple tests
2. Deviation outside range boundary
3. POI beyond deviation level
4. Weakness confirmation (divergence, low volume, rejection)

Entry: When price rejects back into range
Stop: Beyond deviation high/low
Target: Opposite range boundary

Risk-Reward: 1:4 to 1:6

Position Management:

- Close 80% inside range
- Hold 20% for opposite deviation



Strategy 3: Balance Break Momentum

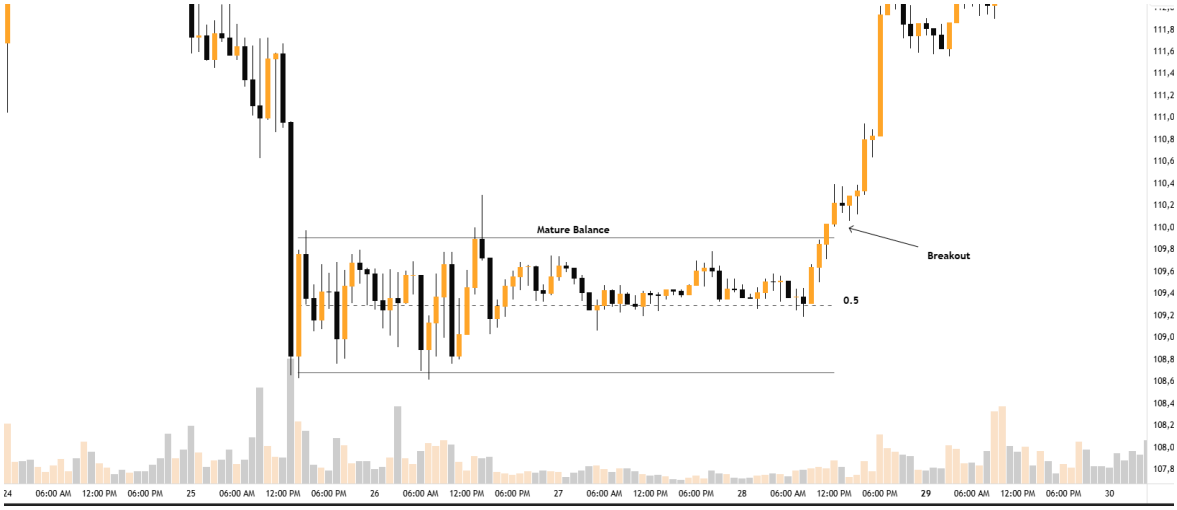
Best For: Intermediate/Advanced, trending markets

Requirements:

1. Mature balance (symmetric, multiple touches)
2. Strong breakout with volume
3. Consolidation or retest outside range
4. Clear catalyst or trend direction

Entry: On retest of broken boundary or consolidation break
Stop: Middle of original balance
Target 1: 100% extension
Target 2: 200% extension

Risk-Reward: 1:3 to 1:8



Strategy 4: Golden Pocket Fibonacci

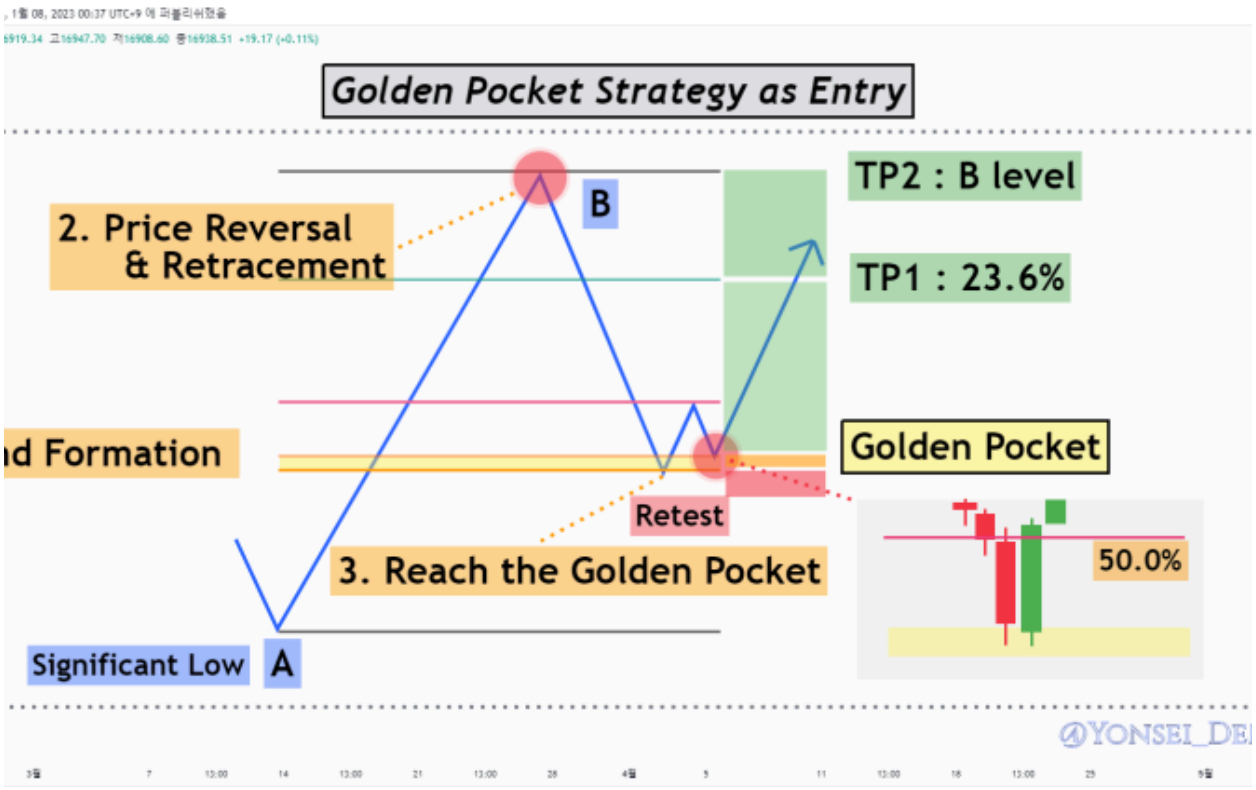
Best For: All levels, trending markets

Requirements:

1. Strong trend move identified
2. Clear retracement into 0.618-0.65 zone
3. Confluence (previous high/low, liquidity zone, volume)
4. Confirmation (reversal pattern, volume spike, divergence)

Entry: Within golden pocket after confirmation **Stop:** Below/above 0.786 level **Target 1:** -0.618 extension (161.8%) **Target 2:** -1.618 extension (261.8%)

Risk-Reward: 1:3 to 1:7



Strategy 5: VPOC Magnetic Trade

Best For: Order flow traders, day trading

Requirements:

1. Naked VPOC identified (not retested)
2. Clear path to VPOC
3. Price showing directional bias toward VPOC
4. Volume confirmation

Entry: On pullback in direction of VPOC
Stop: Recent swing point
Target: Naked VPOC

Risk-Reward: 1:2 to 1:4

Note: Works best intraday when VPOCs are fresher

Strategy 6: Absorption Reversal

Best For: Advanced traders, order flow specialists

Requirements:

1. Clear liquidity zone (HVA, previous high/low)
2. Aggressive orders hitting level (volume dots)
3. Price fails to break through (absorption occurring)
4. Delta divergence confirming absorption

Entry: When absorption confirmed and price begins reversal
Stop: Just beyond absorption zone
Target: Opposite liquidity zone or value area

Risk-Reward: 1:3 to 1:6

Multi-Timeframe Approach

For best results, combine timeframes:

Higher Timeframe (Daily/4H):

- Identify overall trend
- Mark major liquidity zones
- Note key Fibonacci levels
- Identify balance areas

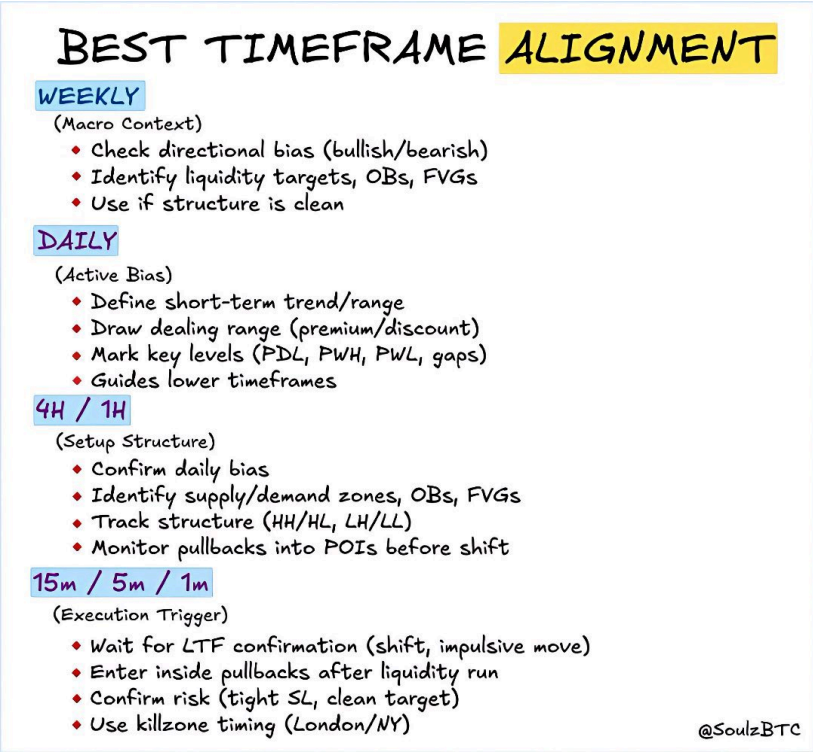
Lower Timeframe (1H/15M):

- Time entries
- Confirm patterns
- Watch order flow
- Manage positions

Example:

- Daily: Uptrend, approaching previous month high (liquidity)
- 4H: Range forming below monthly high
- 1H: Range deviation to downside, golden pocket Fibonacci
- Entry: 1H golden pocket with range support

You can also follow the guide I posted before:



11. Common Mistakes & How to Avoid Them

Mistake 1: Trading Every Range

Problem: Not all ranges are created equal. Trading poor-quality ranges leads to losses.

Solution:

- Only trade ranges with clear 0.5 reactions
- Require minimum 3 touches of boundaries
- Ensure range has developed over sufficient time
- Skip choppy, erratic ranges

Mistake 2: Ignoring Volume

Problem: Price action alone doesn't tell full story. Low volume moves are unreliable.

Solution:

- Always check volume on breakouts
- Look for volume confirmation on reversals
- Avoid low-volume hours
- Use volume profile to find HVAs and LVAs

Mistake 3: Wrong Fibonacci Swing Points

Problem: Incorrect swing points give useless Fibonacci levels.

Solution:

- Use clear, obvious swings
- Don't pick minor pivots
- Use higher timeframes for reliability
- When in doubt, zoom out

Mistake 4: Overtrading Deviations

Problem: Not every move outside a range is a tradeable deviation.

Solution:

- Require all checklist items (POI, weakness, confirmation)
- Don't assume every breakout is false
- Wait for clear rejection
- Use smaller position size on aggressive plays

Mistake 5: Ignoring Risk Management

Problem: Even best setups fail. Poor risk management destroys accounts.

Solution:

- Never risk more than 1-2% per trade
- Always use stop losses
- Scale out of winners
- Accept losses quickly

Mistake 6: Chasing Breakouts

Problem: Entering late on breakouts leads to poor entries and larger stops.

Solution:

- Wait for retest of broken level
- Enter on consolidation breaks, not initial breaks
- Use alerts instead of market orders
- If you missed it, wait for next setup

Mistake 7: Not Waiting for Confirmation

Problem: Entering at levels without confirmation leads to premature entries.

Solution:

- Always wait for confirmation signals
- Use multiple confluence factors
- Don't assume support/resistance will hold
- Let price prove the level before entering

Mistake 8: Believing All Liquidity is Real

Problem: Fake liquidity (spoofing) traps traders who don't verify order execution.

Solution:

- Watch heatmap for disappearing orders
- Confirm with actual execution (volume dots)
- Be skeptical of constantly shifting liquidity
- Focus on price reaction, not just resting orders

Mistake 9: Trading Against the Trend

Problem: Counter-trend trading has lower probability and higher risk.

Solution:

- Identify higher timeframe trend first
- Trade with trend on lower timeframes
- Only fade trend at major liquidity zones
- Use smaller position sizes on counter-trend

Mistake 10: Analysis Paralysis

Problem: Waiting for perfect setup means missing good opportunities.

Solution:

- Have clear entry criteria checklist
- Take setups that meet 80% of criteria
- Accept that no setup is 100% certain
- Focus on probability and risk-reward

12. Putting It All Together: Complete Trading Framework

Pre-Market Analysis Routine

Step 1: Higher Timeframe Context (Daily/Weekly)

- Identify overall trend direction
- Mark major liquidity zones:
    - Previous month/week/day highs and lows
    - Naked VPOCs from previous sessions
    - Major swing highs and lows
    - Equal highs and equal lows
- Note any balances or ranges
- Plot key Fibonacci levels from recent major moves

Step 2: Current Market Structure (4H/1H)

- Is price in a range or trending?
- Where is price relative to value area?
- Where is the session VPOC?
- Are we in balance or imbalance?
- What's the initial balance for the day?

Step 3: Immediate Setup (1H/15M)

- What's the nearest liquidity zone?
- Are there any range structures forming?
- Is price approaching key Fibonacci level?
- What does order flow show (absorption, exhaustion)?

Trade Execution Checklist

Before entering any trade, confirm:

✓ Market Structure

- [ ] Clear trend or range identified
- [ ] Higher timeframe alignment
- [ ] Not at major resistance (for longs) or support (for shorts)

✓ Liquidity Context

- [ ] Identified target liquidity zone
- [ ] Current level is logical entry point
- [ ] Path to target is clear

✓ Confluence Factors (Need 3+)

- [ ] Fibonacci level
- [ ] Previous day/week/month high/low
- [ ] VPOC or POC
- [ ] Volume profile support (HVA or LVA)
- [ ] Equal highs or equal lows
- [ ] Range boundary
- [ ] Major round number

✓ Order Flow Confirmation

- [ ] Volume supports direction
- [ ] Delta confirms or shows divergence
- [ ] Absorption or exhaustion visible
- [ ] Reversal pattern present

✓ Risk Management

- [ ] Stop loss placement logical and acceptable
- [ ] Risk is 1-2% of account
- [ ] Risk-reward ratio minimum 1:2
- [ ] Position size calculated

Trading Plan



During the Trade

Monitoring:

- Watch order flow for changes
- Note volume at key levels
- Observe delta shifts
- Track progress toward targets

Management:

- Scale out at predetermined levels
- Move stops to protect profits
- Don't let winners turn into losers
- Exit if setup invalidates

Adjustments:

- Tighten stops if momentum weakens
- Add to position if confirmation strengthens (carefully)
- Take partial profits early if uncomfortable
- Exit completely if order flow reverses

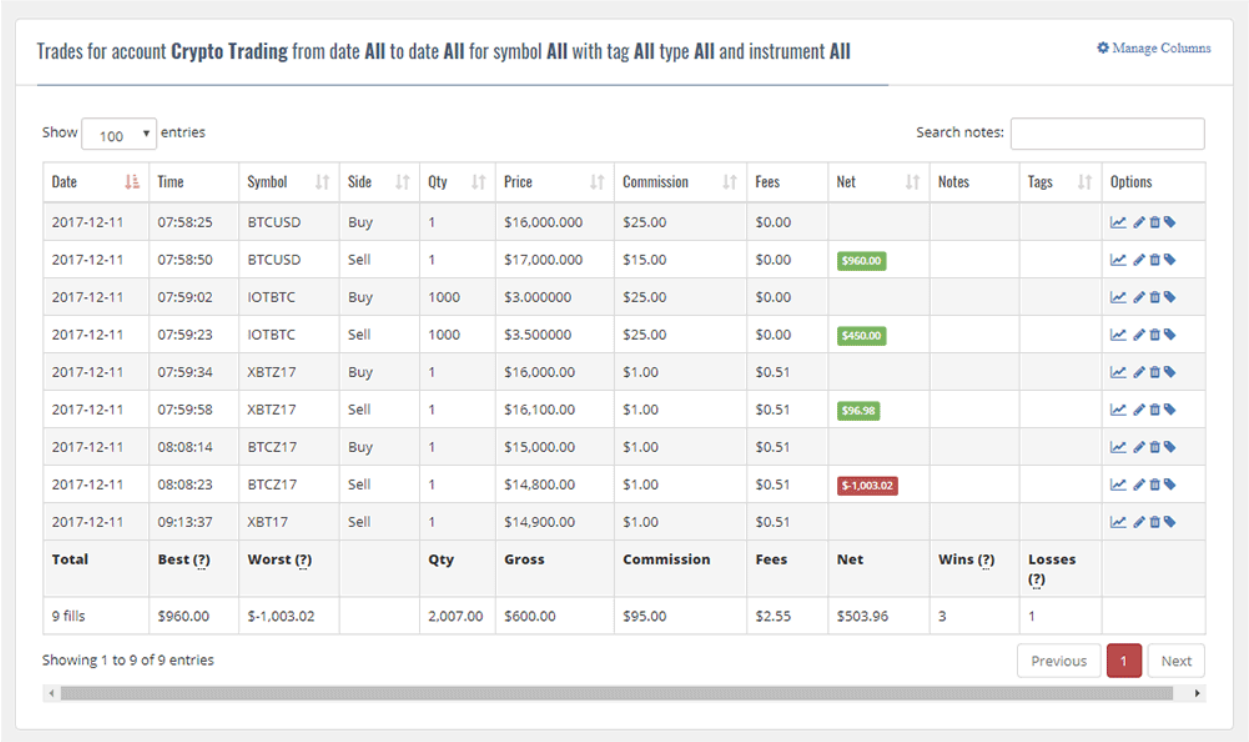
Post-Trade Review

For Every Trade (Win or Loss):

1. **Did I follow my plan?**
    - Entry criteria met?
    - Proper position size?
    - Followed stop/target rules?
2. **What did order flow show?**
    - Was absorption present?
    - Did volume confirm?
    - Were there warning signs?
3. **How was trade execution?**
    - Entry timing good?
    - Stop placement optimal?
    - Exit too early/late?
4. **What can I learn?**
    - What worked well?
    - What needs improvement?
    - Any patterns emerging?

Keep a Trade Journal:

- Screenshots of setup
- Entry/exit reasoning
- Emotions during trade
- Lessons learned



Trades for account **Crypto Trading** from date **All** to date **All** for symbol **All** with tag **All** type **All** and instrument **All**

Manage Columns

Show 100 entries

Search notes:

Date	Time	Symbol	Side	Qty	Price	Commission	Fees	Net	Notes	Tags	Options
2017-12-11	07:58:25	BTCUSD	Buy	1	$16,000.000	$25.00	$0.00				
2017-12-11	07:58:50	BTCUSD	Sell	1	$17,000.000	$15.00	$0.00	$960.00			
2017-12-11	07:59:02	IOTBTC	Buy	1000	$3.000000	$25.00	$0.00				
2017-12-11	07:59:23	IOTBTC	Sell	1000	$3.500000	$25.00	$0.00	$450.00			
2017-12-11	07:59:34	XBTZ17	Buy	1	$16,000.00	$1.00	$0.51				
2017-12-11	07:59:58	XBTZ17	Sell	1	$16,100.00	$1.00	$0.51	$96.98			
2017-12-11	08:08:14	BTCZ17	Buy	1	$15,000.00	$1.00	$0.51				
2017-12-11	08:08:23	BTCZ17	Sell	1	$14,800.00	$1.00	$0.51	$-1,003.02			
2017-12-11	09:13:37	XBT17	Sell	1	$14,900.00	$1.00	$0.51				
Total	**Best (?)**	**Worst (?)**		**Qty**	**Gross**	**Commission**	**Fees**	**Net**	**Wins (?)**	**Losses (?)**	
9 fills	$960.00	$-1,003.02		2,007.00	$600.00	$95.00	$2.55	$503.96	3	1	

Showing 1 to 9 of 9 entries

Previous 1 Next

13. Advanced Concepts

Here are some advanced concepts that you can do once you have a good experience charting and trading:

Composite Liquidity Mapping

Combine multiple liquidity concepts for highest probability zones:

Example High-Probability Long Setup:

- Previous week low (time-based liquidity)
- Equal lows formed (structural liquidity)
- 0.618 Fibonacci retracement (mathematical confluence)
- Naked VPOC from 2 days ago (volume-based target)
- Range low boundary (structural support)

When 4-5 factors align = Extremely high probability zone

Liquidity Cascade Effect

Understanding how liquidity zones interact:

Phase 1: Initial Sweep

- Price takes out first liquidity zone (e.g., equal lows)
- Stops triggered, providing fuel

Phase 2: Momentum Build

- Liquidity sweep creates momentum
- Price accelerates toward next zone
- Low volume area acts as vacuum

Phase 3: Next Target

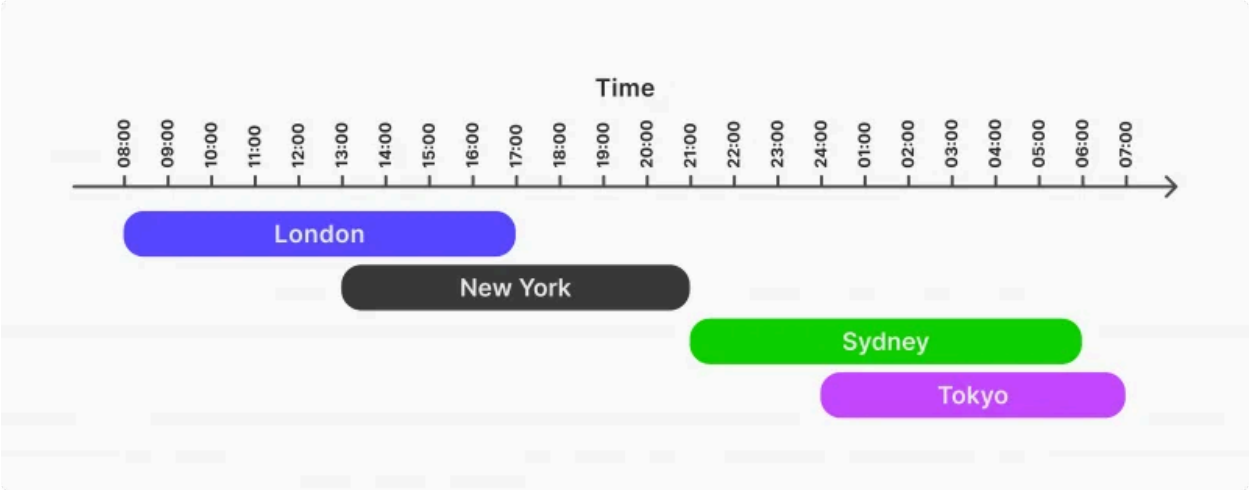
- Price reaches next major liquidity (e.g., previous month low)
- Either reverses (absorption) or continues cascade

Trading the Cascade:

- Enter after first sweep confirms direction
- Target next liquidity zone in sequence
- Trail stops as price progresses
- Exit before major opposing liquidity

Session Characteristics

Different trading sessions have unique liquidity profiles:



Asian Session:

- Generally lower volume
- Ranges more common
- JPY pairs most active
- Good for range trading strategies

London Session:

- High volume, high volatility
- Major moves often begin here
- EUR and GBP pairs active
- Good for breakout strategies

New York Session:

- Highest volume (overlaps with London)
- Trend continuation or reversal
- USD pairs dominate
- Good for momentum strategies

Session Overlaps:

- London-New York overlap (highest liquidity)
- Best trading opportunities
- Clearest order flow signals
- Most reliable setups

14. Market Phase Recognition

Trending Market



Characteristics:

- Clear higher highs and higher lows (uptrend)
- Clear lower highs and lower lows (downtrend)
- Volume increasing in trend direction
- Imbalanced profiles
- Price spending more time at edges than center

Best Strategies:

- Fibonacci retracements into golden pocket
- Enter pullbacks to value area
- Trade balance breaks in trend direction
- Avoid counter-trend trades

What to Avoid:

- Range trading strategies
- Fading the trend without strong confluence
- Taking profits too early

Ranging Market



Characteristics:

- Clear boundaries, multiple touches
- Price oscillating between highs and lows
- Balanced volume profile
- VPOC near center
- Lower volatility

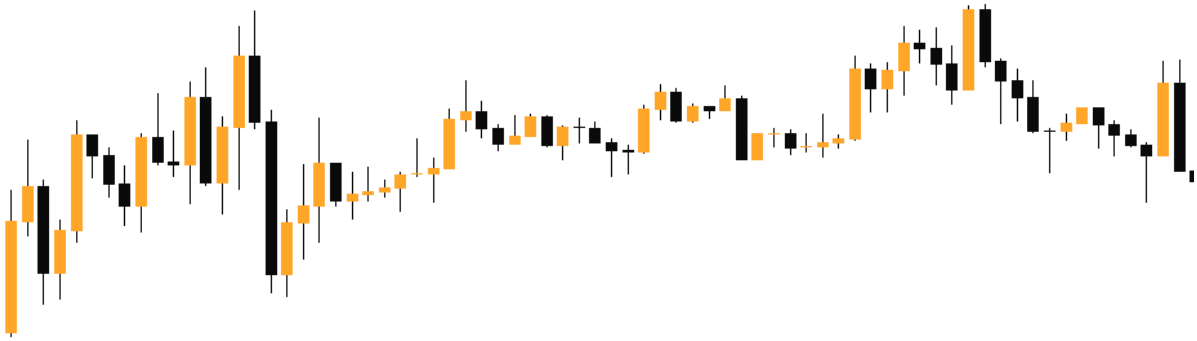
Best Strategies:

- Range reversal at boundaries
- Deviation fades
- Conservative boundary-to-boundary trades
- Wait for balance break

What to Avoid:

- Breakout trading (false breaks common)
- Holding through boundaries
- Large position sizes

Transitional Market



Characteristics:

- Unclear direction
- Choppy, erratic movement
- No clear structure
- Low volume
- Multiple false signals

Best Strategies:

- Stay flat (no trades)
- Wait for clarity
- Use time to analyze and plan
- Reduce position sizes if trading

What to Avoid:

- Forcing trades
- Overtrading
- Revenge trading after losses
- Large positions

15. Psychology and Discipline

The Mental Game

Trading liquidity concepts is technically straightforward but psychologically challenging.



Common Psychological Traps:

1. **FOMO (Fear of Missing Out)**
    - Chasing trades
    - Entering without confirmation
    - Oversizing positions
2. **Revenge Trading**
    - Trading to recover losses
    - Ignoring rules
    - Increasing risk
3. **Overconfidence**
    - Taking larger positions after wins
    - Skipping analysis
    - Ignoring warning signs

4. **Analysis Paralysis**

    - Waiting for perfect setup
    - Missing good opportunities
    - Overthinking every decision

How to Build Discipline

Create Systems:

- Checklists for every trade
- Pre-defined rules (write them down)
- Journaling routine
- Review process

Risk Management Rules:

- Maximum 1-2% risk per trade (non-negotiable)
- Maximum 5% total risk across all positions
- Stop trading after 3 consecutive losses
- Take break after 2 emotional trades

Performance Goals:

- Focus on process, not profit
- Track win rate and risk-reward
- Aim for consistency, not home runs
- Celebrate following rules, not just wins

How to Develop Patience

The 4 Phases of Trade Development:

1. **Setup Phase (Can take hours/days)**
    - Range forming
    - Liquidity building
    - Structure developing
    - *Your job: Watch and wait*
2. **Trigger Phase (Minutes to hours)**
    - Confirmation appearing
    - Entry criteria met
    - Setup activating
    - *Your job: Execute plan*
3. **Management Phase (Duration of trade)**
    - Monitoring progress
    - Adjusting stops
    - Taking profits
    - *Your job: Follow rules*
4. **Review Phase (After trade closes)**
    - Analyzing execution
    - Learning lessons
    - Journaling
    - *Your job: Improve process*

Most traders fail in Phase 1 - they can't wait for proper setups.

How to Handle Losses

Losses are inevitable. How you handle them determines success:

After a Loss:

1. Review trade objectively (was it good or bad process?)
2. If good process, accept it (probability game)
3. If bad process, identify what to fix
4. Take a break before next trade
5. Reset emotionally

Never:

- Double position size to recover
- Abandon your strategy
- Blame the market
- Trade while emotional
- Skip the review process



16. Tools and Resources

Essential Trading Tools

Charting Platforms:

- TradingView (best for analysis and visualization)
- ThinkOrSwim (excellent for futures and options)
- NinjaTrader (advanced order flow tools)
- Sierra Chart (professional-grade, steep learning curve)
- MetaTrader (forex-focused, widely available)

Order Flow Tools:

- Bookmap (heatmap and order flow visualization)
- MotiveWave (volume profile and market profile)
- MarketDelta (footprint charts and volume analysis)
- Jigsaw Trading (order flow and DOM analysis)

Volume Profile Tools:

- TradingView (built-in volume profile)
- Sierra Chart (TPO and volume profile)
- Market Profile (dedicated MP software)

Recommended Indicators

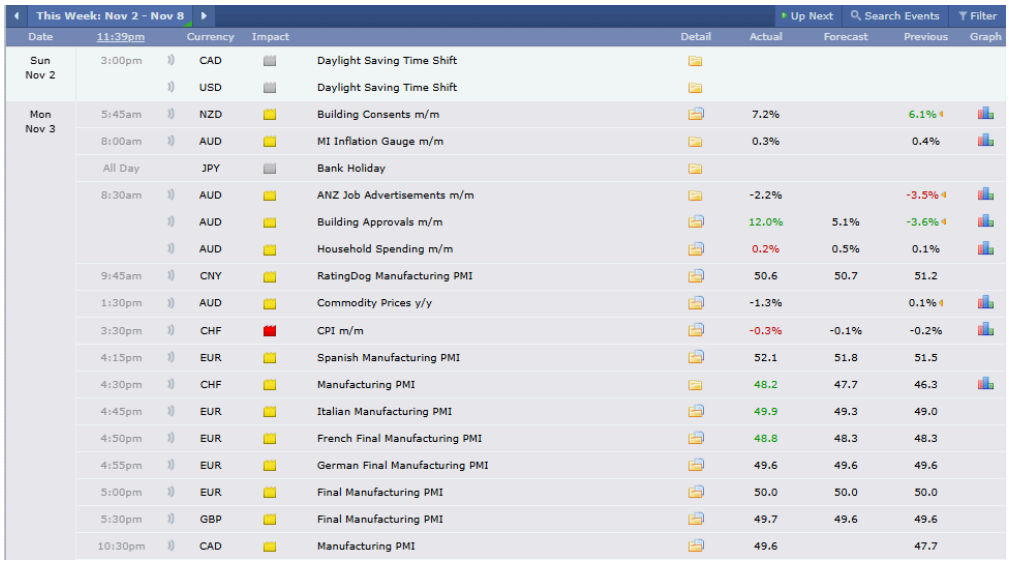
For TradingView:

- **Check out my Indicators on Telegram**
- Volume Profile (fixed range and session)
- Fibonacci Retracement (built-in)
- Volume (standard volume bars)
- RSI (for divergence confirmation)
- VWAP (value area reference)

Custom Settings:

- Volume Profile: 70% value area, show VPOC
- Fibonacci: 0, 0.236, 0.382, 0.5, 0.618, 0.786, 1.0
- RSI: 14 period, levels at 30/70

Data and News Sources



This Week: Nov 2 - Nov 8 | Up Next | Search Events | Filter

Date	11:39pm	Currency	Impact		Detail	Actual	Forecast	Previous	Graph
Sun Nov 2	3:00pm	CAD		Daylight Saving Time Shift					
		USD		Daylight Saving Time Shift					
Mon Nov 3	5:45am	NZD		Building Consents m/m		7.2%		6.1%	
	8:00am	AUD		MI Inflation Gauge m/m		0.3%		0.4%	
	All Day	JPY		Bank Holiday					
	8:30am	AUD		ANZ Job Advertisements m/m		-2.2%		-3.5%	
		AUD		Building Approvals m/m		12.0%	5.1%	-3.6%	
		AUD		Household Spending m/m		0.2%	0.5%	0.1%	
	9:45am	CNY		RatingDog Manufacturing PMI		50.6	50.7	51.2	
	1:30pm	AUD		Commodity Prices y/y		-1.3%		0.1%	
	3:30pm	CHF		CPI m/m		-0.3%	-0.1%	-0.2%	
	4:15pm	EUR		Spanish Manufacturing PMI		52.1	51.8	51.5	
	4:30pm	CHF		Manufacturing PMI		48.2	47.7	46.3	
	4:45pm	EUR		Italian Manufacturing PMI		49.9	49.3	49.0	
	4:50pm	EUR		French Final Manufacturing PMI		48.8	48.3	48.3	
	4:55pm	EUR		German Final Manufacturing PMI		49.6	49.6	49.6	
	5:00pm	EUR		Final Manufacturing PMI		50.0	50.0	50.0	
	5:30pm	GBP		Final Manufacturing PMI		49.7	49.6	49.6	
	10:30pm	CAD		Manufacturing PMI		49.6		47.7	

Economic Calendar:

- Forex Factory (free, comprehensive)
- Investing.com (detailed event impact)
- Trading Economics (historical data)

Market News:

- Bloomberg (institutional-grade news)
- Reuters (breaking market news)
- Financial Times (in-depth analysis)

Market Data:

- Your broker's platform
- TradingView (real-time and delayed data)
- Barchart (futures-focused data)

Educational Resources

Further Study:

- "Mind Over Markets" by James Dalton (Market Profile bible)
- "Markets in Profile" by James Dalton (advanced MP concepts)
- "A Complete Guide to Volume Price Analysis" by Anna Coulling
- ICT (Inner Circle Trader) YouTube content on liquidity

Final Thoughts

Trading liquidity is about understanding where orders sit, how they interact, and where price is likely to move next. It's not magic - it's logic, probability, and psychology.

You now have the knowledge. What separates successful traders from unsuccessful ones isn't information - it's application, discipline, and persistence.

The markets will be here tomorrow, next week, and next year. There's no rush.

Take your time, follow the process, protect your capital, and let the probabilities work in your favor over hundreds and thousands of trades.

Welcome to the world of liquidity-based trading. Your journey starts now.